

CHAPTER NINE
CENTRAL BANKING

9.1 THE ESTABLISHMENT AND GROWTH OF THE CENTRAL BANK OF NIGERIA (CBN)

The banking failures of the early 1950's led to the transfer of control of banking to the Financial Secretary. This triggered off two policy commissions. The first was headed by the Governor of the Bank of England, Lord Hailsham, who visited Nigeria in 1951. The second was headed by the Governor of the Bank of England, Lord Hailsham, who visited Nigeria in 1951. The first was headed by the Governor of the Bank of England, Lord Hailsham, who visited Nigeria in 1951. The second was headed by the Governor of the Bank of England, Lord Hailsham, who visited Nigeria in 1951.

ii) Fisher's Report 1953

iii) I.B.R.D. Mission Report 1954

iv) J.B. Loyne's Report 1957

Fisher based his study on orthodox banking principles and reported that it was not feasible to establish a central bank on the grounds that the financial environment did not exist and that it would be impossible to find the local staff to man it. He also concluded that the West African Currency Board was equal to the task of handling savings and capital formation.

As an alternative, Fisher recommended:

- i) The formation of a development corporation by the government.
- ii) The issue of Treasury bills.
- iii) Establishment of an institution by government to lend to co-operative societies.
- iv) The use of Post Office Savings for development purposes.

He also recommended a three step program leading to the development of a central bank.

Transferring the operation of W.A.C.B. to a local management which eventually be indigenous and the local people have had the necessary experience.

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12-5 CONCLUSION

In Nigeria, the role of merchant banks is not precisely defined, as it has been an uphill task for the monetary authorities to define their role in a developing economy whose capital market is not fully developed. As a result, merchant banks were for a long time performing virtually the same functions as commercial banks. The Central Bank in its annual monetary policy circulars to banks has endeavoured to distinguish merchant banks and carve out specific roles for them. In this context, the current Monetary Policy Circular provides that:

- i) A minimum of 50% of total loans and advances shall be of medium and long-term nature with a maturity of not less than three years.
- ii) A maximum of 20% of loans and advances shall be of short-term nature (i.e. maturing within twelve months).
- iii) A maximum of 15% of total assets shall be in equipment leasing.

The above requirements seek to restrict the activities of merchant banks in the traditional area of commercial banking activities (i.e. short-term lending) and expand their activities in the financing of major industrial and commercial projects. This should avoid unnecessary competition or duplication of functions. However, to fulfil the role mapped out for them, merchant banks face the problem of liquidity. The source and nature of funds available to them, outside their own capital and reserves, are essentially short-term deposits repayable within one year. In these circumstances, it is difficult for merchant banks to concentrate on long-term lending, as the resultant effect of using short-term funds to finance long-term projects could be quite disastrous.

REVIEW QUESTIONS

- 12.1 What are the main differences between merchant banks and commercial banks?
- 12.2 How far have the authorities succeeded in carving out a specific role for merchant banks in Nigeria?

was formed. It comprises 8 members: 7 merchant banks and one development bank - NAL Merchant Bank Nig. Chose Merchant Bank (Nigeria, International Merchant Bank Nig. ICON Limited (Merchant Bankers), Nigerian-American Merchant Bank, Nigeria Bank for Commerce and Industry, Nigeria Merchant Bank and First City Merchant Bank Nigeria (Banking Almanac 1985/86).

The financing of this facility is constrained in Nigeria by the low level of capital allowances. The uncertainty of tax treatment in Nigeria is also seen as another constraint where there are no specific tax codes for leasing and the tax impact on various lease contracts. In spite of this, equipment lease services are gradually gaining ground in Nigeria despite lack of business awareness of the potential benefits.

Leasing is suitable for large and costly assets such as computers, aircraft or major plant and equipment and is a practical alternative to outright purchase of an asset on credit, mortgage finance or term loan. In a leasing agreement, no capital outlay is involved. It requires no cash deposit or down payment, the only disbursement being the fee payable to the merchant bank.

12-4.4 Money Market Services

As part of their money market activities, deposits are taken from commercial banks, institutions, large corporations and rich individuals at attractive interest rates. Merchant banks also accept call and time deposits from individuals, partnerships and corporate customers, as well as from other banks and government corporations. As they are actively engaged in the local money market, they are able to advise customers on the up-to-date conditions prevalent in the market. Merchant banks are authorised issuers and dealers of Negotiable Certificates and Deposits which, it will be remembered, are attractive investments for customers.

12-4.5 Portfolio Management

Most merchant banks in Nigeria have investment departments set up to manage the portfolios of customers. This includes arranging purchases and sales of securities (and offering advice on when and what to buy and sell) as well as attending to registrations, rights or bonus issues.

- (i) Establishment of a Nigerian Currency Board and a separate Nigerian currency to take over Nigeria's share of WACB assets.
- (ii) Establishment of a Bank of Issue as the embryo of a future Central Bank.¹

As was expected, Fisher's recommendations were supported in 1955 by the World Bank Mission. However, the BRD Mission recommended a State Bank of Nigeria to take over the banking control functions of the Financial Secretary.

Contrary to the above two reports, that of J.B. Loynes in 1957 favoured the establishment of a Central Bank in Nigeria and by 17th March 1958 the CBN Ordinance was promulgated and became fully operational on the 1st July 1959.

The main provisions of the Act so far as the Central Bank of Nigeria was concerned were:

- i) Issuance of legal tender currency in Nigeria.
- ii) Maintenance of external reserves in order to safeguard the internal value of the currency.
- iii) Promotion of monetary stability and a sound financial structure.
- iv) Banker to other banks in Nigeria and abroad.²

The functions of the Central Bank will be discussed later in this book.

9-2 WHAT IS A CENTRAL BANK?

A Central Bank stands at the apex of the banking system of every country. It is the government representative in the banking sector and acts mainly as banker to the government. It has a very close association with both the government and the banking sector of the economy, advising the government on monetary policy and implementing the policy on behalf of the government.

¹ J.L. Fisher's *Report on the Desirability and Practicability of Establishing a Central Bank in Nigeria for Promoting the Economic Development of the Country* Government Printer, Lagos, Nigeria 1953 p. 17

² See Central Bank of Nigeria Act, 1959 (cap 30) (as amended 1962-69) paragraph 4 p. 6 and paragraph 83 p. 24

9-3 STRUCTURE OF CENTRAL BANK BALANCE SHEET

9-3.1 Introduction

(iv) In view of its privileged position the Central Bank does not normally compete for business with the commercial banks. Apart from the Federal and State Government accounts which are usually maintained by it, the Central Bank of Nigeria does not provide banking services for personnel and commercial customers which is the main business of commercial and merchant banks.

(v) The control and issue of currency notes and coins are vested in the Central Bank, thus giving it the power to regulate the supply of money.

(iv) By virtue of the statutory powers delegated to the Central Bank by the government, it controls the actions of the banks and other financial institutions, particularly with regard to lending.

(iii) Apart from serving as banker to commercial banks, the Central Bank has a supervisory role over the commercial banks and other financial institutions.

(iii) Commercial Banks serve as bankers to their customers, while the Central Bank serves as banker to commercial banks, acting as lender of last resort to the banking system.

(i) The maximisation of profits is one of the main objectives of a commercial bank, but a Central Bank does not aim to maximise profits.

The main differences between the Central Bank and a commercial bank can be summarised as follows:

Table 9.1
Central Bank of Nigeria

Return of Assets and Liabilities as at the Close of Business on 30th July 1962

Liabilities	₦	₦	Assets	₦
Capital Subscribed and Paid up		3,000,000	Gold	19,009,430
General Reserve		88,000,000	Convertible Currencies:	
			Foreign Government Securities	821,504,696
			and Balances with Foreign Banks	
			I.M.F. Gold Tranche	
			Special Drawing Rights	
			Total External Reserve	840,514,126
Currency in Circulation		4,228,397,619		
Deposits:				
Federal and State Governments	1,140,310,989			
Bankers	756,650,600			
Others	1,022,738,706			
Other Liabilities		2,919,700,295	Federal Government Securities	4,825,583,294
		1,819,074,681	Other Securities	289,905,655
		9,058,172,595	Rediscounts and Advances	2,681,603,821
			Other Assets	420,565,699
				9,058,172,595

Source: Central Bank of Nigeria.

9-3.2 Assets

- i) Gold. This is the value of the gold bars held in the Bank's vault in Lagos as at the date of the balance sheet (₦19,009,430).
- ii) Foreign Government Securities and Balances with Foreign Banks (₦821,504,696). This includes the Bank's total investments in foreign government securities like Treasury Bills, Treasury Certificates, other foreign bonds and stocks, and balances held in convertible foreign currencies on time deposits and current accounts. These are used mainly as working balances for international trade payments.
- iii) I.M.F. Gold Tranche and Special Drawing Rights. Balances held on these two accounts are Nigeria's contribution in convertible currencies to the International Monetary Fund. Countries with temporary balance of payments problems are allowed to withdraw their contributions. Nigeria is presently going through such problems; hence, the two accounts have been completely drawn down. The sum of the balances held as gold and convertible currencies equals the total external reserve held by the Bank on behalf of the Federal Government of Nigeria.
- iv) Federal Government Securities. On the date of the Return, the Bank's holding of Federal Government securities amounted to ₦4,825,583,294. Government securities are of two categories: short-dated securities with maturities ranging from 2 years to 25 years or over. The holdings of the Bank include those securities purchased as 'buyer of last resort' of stocks not absorbed by the capital market.
- v) Other Securities (₦289,905,665). This is the value of the Bank's other investments especially in development banks like the Nigerian Industrial Development Bank, the Nigerian Bank for Commerce and Industries and the Nigerian Agricultural and Cooperative Bank.
- vi) Rediscounts and Advances (₦2,681,603,821). These include temporary loans and advances made to the Federal Government as Ways and Means Advances, loans to Commodity Boards, advances granted to banks and discount houses in its role as 'lender of last resort' and the rediscount of government and commercial bills, etc.
- vii) Other Assets. Items under other assets include premises, equipment and other miscellaneous assets.

CHAPTER TEN

THE FUNCTIONS OF THE CENTRAL BANK OF NIGERIA.

10-1 BANKING FUNCTIONS

10-1.1 Introduction

The main banking functions of the Central Bank include:

- i) Currency issue;
- ii) Banker and Adviser to Government; and,
- iii) Banker to, and Supervisor of, Commercial/Merchant Banks and other Financial Institutions.

These functions, which are discussed in detail in the following pages, are performed by various specialised departments working under the overall control of the Board of Directors. The Board comprises of the Governor of the Bank as Chairman, the Deputy Governor, three Executive Directors and eight other Directors, all of whom are appointed by the Federal Government for five years (in the case of the Governor, his Deputy and three Executive Directors) and three years (for the other Directors). (A detailed organisation chart for the Central Bank of Nigeria is shown overleaf.)

10-1.2 Issuing of Currency

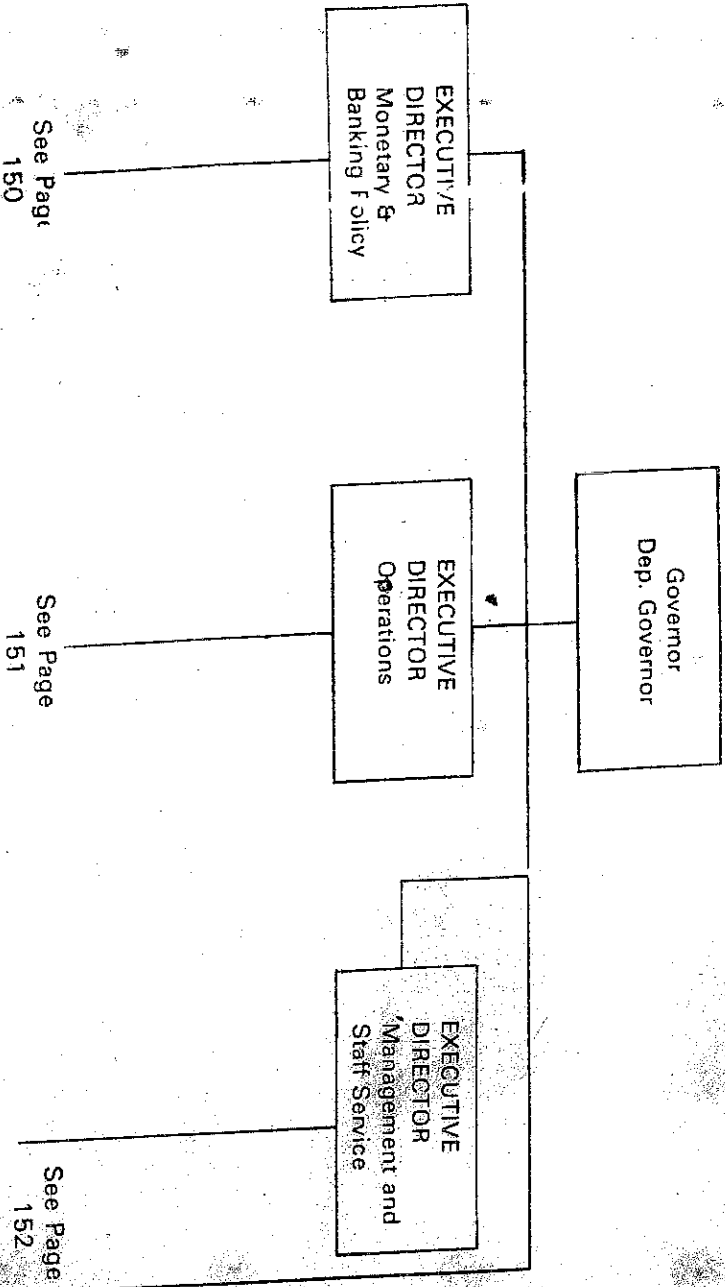
The Central Bank of Nigeria has the monopoly of the note issue in Nigeria. The first truly Nigerian currency was issued on 1st July 1959, the day the Central Bank was officially opened. At that time the W.A.C.B. notes were withdrawn from circulation.

Further issues were made in 1965, 1968 and 1973. When Nigeria became a Republic in 1962, it was decided that the existing Federation of Nigeria notes be replaced. A total of ₦137m was redeemed between 1st July 1965 and June 1966.

The Nigerian Currency was again changed in 1968 during the period of the Nigerian Civil War. The Central Bank (Currency Conversion) Decree No. 51 was promulgated on 30th December 1967 aimed at achieving three objectives:

Table 10.1

Organisation Chart of the Central Bank of Nigeria



9-3.3 Liabilities

i) Capital. The bank's authorised and paid-up capital which was originally fixed at £1.5m (£3 million) has remained at that level since 1959. It is held by the Federal Government.

ii) General Reserve. The General Reserve has steadily grown to the present level of ₦88 million from a Nil balance at the inception of the Bank in 1959. The balance will continue to increase every year by 1/16th of the net profit made at the end of each financial year. (The CBN Act provided that the Bank should maintain a General Reserve Fund. Each year 1/8th of the net profit of the bank was allocated to the fund until it was equal to the paid-up capital. Thereafter 1/16th of the net profits of the year was allocated to the fund.)

iii) Currency in circulation (₦4,228,397,619). One of the main liabilities of the Bank is the currency in circulation (i.e. notes and coins issued by the Bank).

iv) Deposits (₦2,919,700,295). Balances held on deposits by Federal and State governments, banks, corporations and parastatals also form a major item of liability. Deposits by banks include compulsory deposits required for the maintenance of the statutory cash ratio, deposits required as cover for Letters of Credits, etc. and working balances on banks' accounts.

v) Other Liabilities. Items under Other Liabilities include provision for taxation, accrued interest, provision for currency fluctuations and allocation of Special Drawing Rights, etc.

REVIEW QUESTIONS

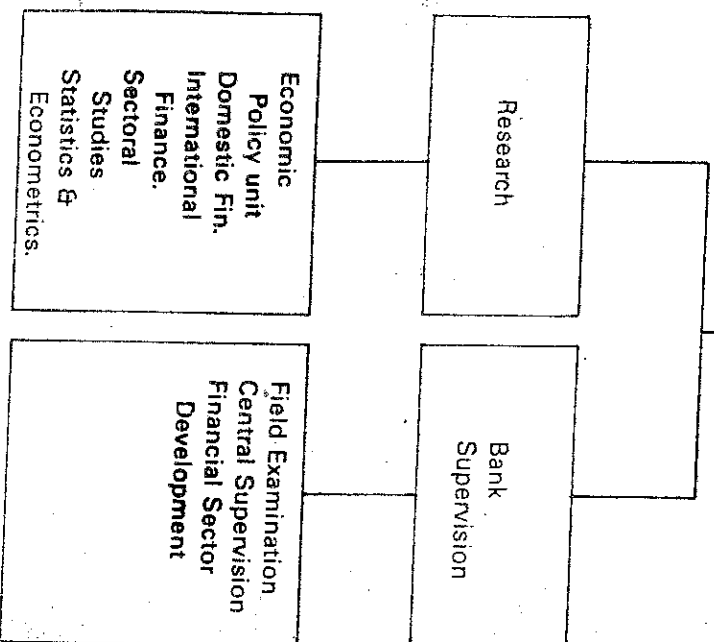
- 9.1 What were the foundations for Central Banking in Nigeria?
- 9.2 Outline the main similarities and differences between a commercial bank and the Central Bank of Nigeria.
- 9.3 Write short notes on:
 - i) Reserve ratios of banks in Nigeria.
 - ii) Lender of last resort.

- 9.4 What are the major differences between the Balance Sheet of the CBN and that of a typical commercial bank?
- 9.5 How does central banking in Nigeria resemble or differ from central banking in the United States of America?

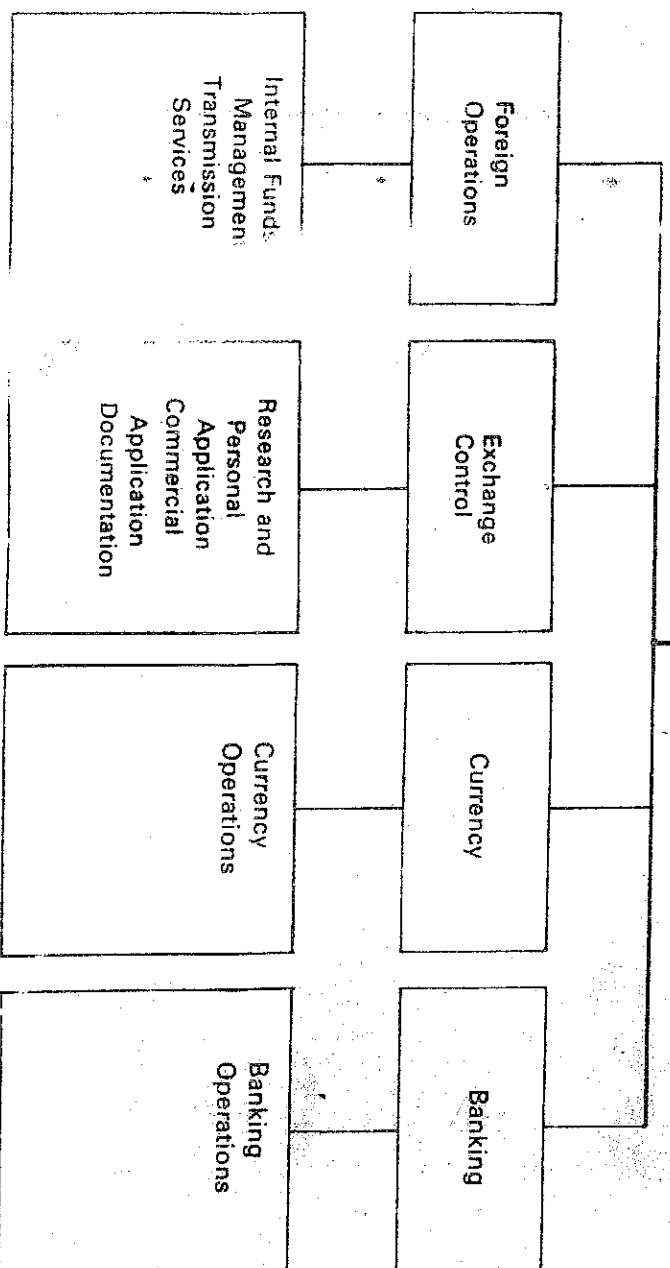
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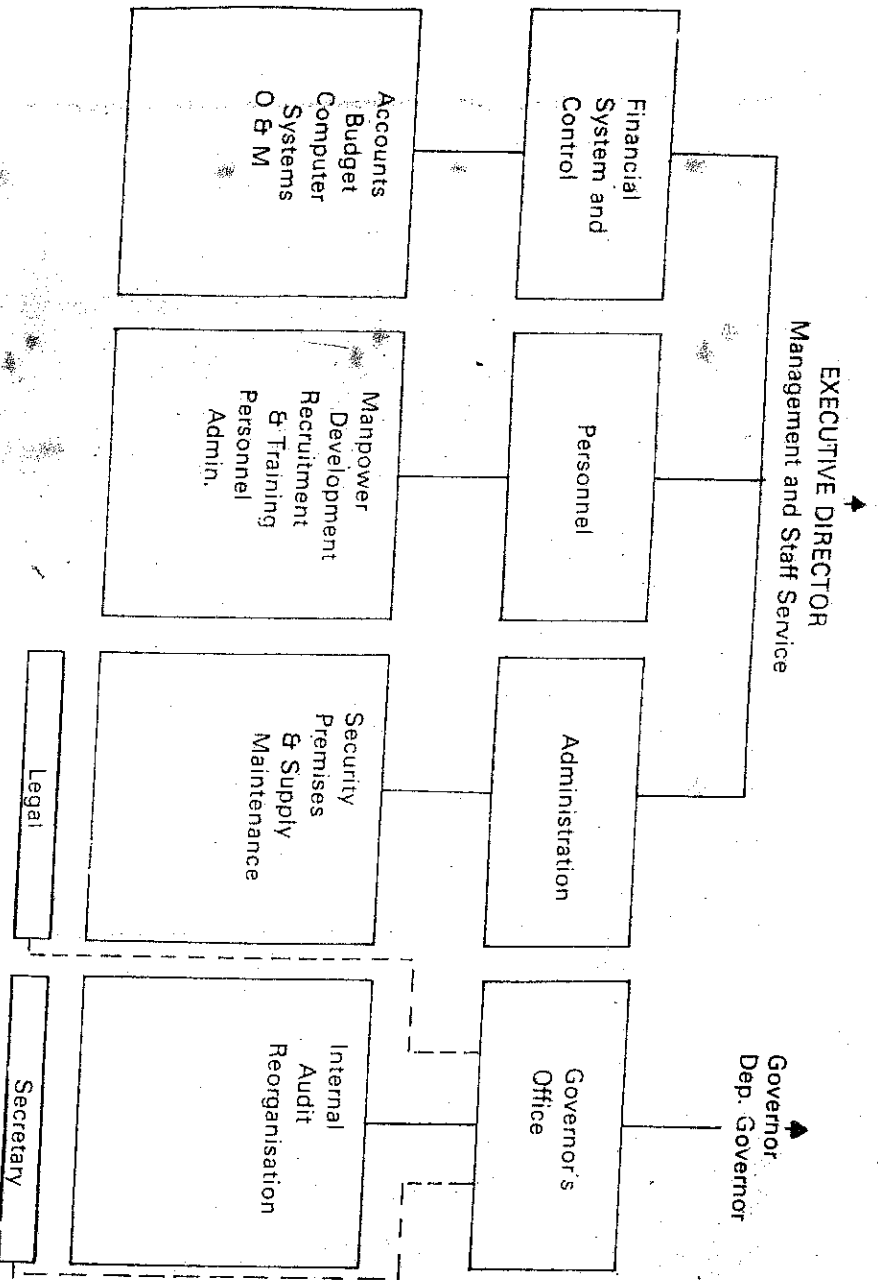
- CBN-Research Dept. (1978). *Twenty years of Central Banking in Nigeria 1959 - 79*. CBN.
- Fisher J. L. (1953) *Report on the Desirability and Practicability of Establishing a Central Bank of Nigeria for promoting the economic development of the country*. Government Printer, Lagos.

EXECUTIVE DIRECTOR
Monetary and Banking Policy



EXECUTIVE DIRECTOR
Operations





- i) To ensure the success of the trade embargo on the secessionist areas.
- ii) To forestall the use of mint notes stolen from CBN vaults in Enugu, Port Harcourt and Benin.
- iii) To frustrate the illegal trafficking in the Nigerian currency which was going on in some foreign countries.¹

The decision to adopt the decimal currency system resulted in another currency exchange in January 1973. This started with 2 units of decimal coins — 5 kobo and 10 kobo — introduced in July 1972, while the full exchange of new notes for the old currency was effected in 4 denominations of 50k, ₦1, ₦5, and ₦10 on 2nd January 1973. In February 1976, the largest denomination of note — ₦20 — was issued.

The Central Bank is responsible for the distribution of currency throughout the country. This is done through CBN branches and currency centres to the commercial banks.

10-1.3 Banker and Financial Adviser to the Government

Although the Federal Government and State Governments maintain a number of small accounts with the commercial banks, especially in areas where the CBN has no branches, the main government accounts are kept with the Central Bank of Nigeria, Lagos and its State branches. The CBN is also the main banker to statutory corporations, quasi-government institutions, especially those established by the Federal Government.

The Central Bank is required by law to make temporary short-term advances to the Federal Government. The granting of this type of facility, called *Ways and Means Advances*, is to assist the Federal Government meet temporary budgetary deficits.

It is also the responsibility of the Bank to arrange all the Federal Government's borrowing — short-term through the issue of Treasury Bills and Treasury Certificates and longer-term through the issue of Development Stocks. (The Central Bank also renders financial assistance to the various statutory Marketing and Commodity Boards by discounting of their bills.)

¹ See *Twenty years of Central Banking in Nigeria: 1959-79*, Research Department, C.B.N. p.78

The Bank has, therefore, to advise the government on the terms of issue of government debt instruments and the state of the Money and Capital Markets, as well as contributing to the preparation of the Federal Government Budget.

Apart from managing the internal public debt, the Central Bank also manages the external debt of the country. The Central Bank's role includes the collection of proceeds from investors and the prompt repayment of such loans as they fall due.

10-1.4 Banker to, and Supervisor of, Banks and Other Financial Institutions

The Central Bank of Nigeria acts as banker to the commercial banks, merchant banks, development banks and other financial institutions. Every bank in Nigeria keeps an account with the Central Bank. Strictly speaking, this is not a statutory requirement, but rather a necessity, as no bank can operate successfully without having some business relationship with other banks. Such business transactions invariably result in one form of inter-bank settlement or the other, which is best handled through the Central Bank.

As the Central Bank stands at the apex of the banking system in Nigeria, it shoulders the statutory responsibility for promoting a sound financial structure and ensuring that the operations of banks and other financial institutions are kept within the provisions of the law. The Banking Act, 1969, as amended in 1979, and the series of Monetary Policy Circulars issued by the Central Bank at the beginning of each government fiscal year, contain a number of regulations and directives for banking operations in the country. Some of the areas covered include liquidity ratios, interest rate structure and sectoral allocations of loans and advances. These will be discussed in more detail later in this book.

The Banking Supervision Department of the Central Bank pays periodic visits to all banks to examine and scrutinise their books, in order to ensure that banking regulations are not contravened. The banks themselves are also required to render bi-monthly, monthly and annual returns to the Central Bank. These include a Monthly Statement of Assets and Liabilities (First Schedule), a Monthly Report on Loans and Advances (Second Schedule), the Annual Audited Accounts -

10-2 MONETARY FUNCTIONS

10-2.1 Introduction

Balance Sheet and Profit & Loss (Third Schedule), the Auditors' Report (Fourth Schedule) and the Auditors' Analysis of Doubtful Advances (Fifth Schedule).

In turn, the Central Bank is obliged to provide a cheap and efficient clearing facility and outlets for the investment of banks' temporary surplus funds.

As the lender of the last resort, the Central Bank is prepared to lend to banks by granting them short-term direct advances or through rediscounting eligible bills presented by them.

The Central Bank of Nigeria has a primary responsibility for formulating monetary policy. The Central Bank's monetary policy proposals, after they have been reviewed and accepted by the Federal Government, are normally incorporated into the Federal Government budget each year. A few days after the budget has been released, the Central Bank of Nigeria issues a Monetary Policy Circular which spells out the revised monetary regulations in detail.

At present, the Central Bank attempts to use six instruments of monetary policy to control the banks in Nigeria. These are:

- i) open market operations;
- ii) discount rate system;
- iii) direct regulation of interest rates;
- iv) moral suasion;
- v) reserve requirements; and,
- vi) direct control.

Each of these instruments will now be considered in detail.

10-2.2 Open Market Operations

Open market operations mean the buying and selling of short and long-term government securities in the money market and capital

fixes a minimum rediscount rate. This is usually a penal rate as banks are expected to use it only as a last resort. Furthermore, such borrowings by banks must be adequately secured by Treasury Bills or other government stocks. It is to be noted that all interest rates are pegged to this Discount Rate.

In developed economies, this is a very effective instrument of monetary control. An increase in the rate is a signal for a credit squeeze, while a decrease gives the opposite indication. Again, due to the lack of developed money and capital markets, the discount rate policy has not been sufficiently effective in Nigeria and has been used sparingly. Moreover, owing to the high returns on investments in Nigeria, a rise or fall in interest rates has little or no impact on borrowers.

10-2.4 Direct Regulation of Interest Rates

Unlike the economies of developed countries where interest rates are only indirectly influenced by official policy action, the interest rate structure in Nigeria is directly controlled and managed by the Central Bank. Every year the Central Bank fixes the ranges within which both the deposit and the lending rates are to be maintained. The rates are controlled for three reasons:

- i) to promote orderly growth of the financial markets;
- ii) to combat inflation;
- iii) to lessen the burden of internal debt servicing on the government.

10-2.5 Moral Suasion

This is an instrument frequently used by the Central Bank of Nigeria. The Governor of the Central Bank tries, in a friendly manner, to persuade banks to reduce their lending activities when there is need for such restraint. Banks generally co-operate realising that the Central Bank has wide statutory powers to regulate the banking system. Moral suasion has been found to be a very effective instrument of monetary control.

market by the Central Bank of Nigeria in order to increase or restrict bank lending. When the Central Bank buys securities on the market, payments are made to individuals and companies from whom they have been purchased. When the cheques issued by the CBN are credited to the sellers' accounts in various commercial banks, additional deposits are made in the banking system and the banks are then in a position to create more money by increasing their lending. On the other hand, when the CBN sells securities in the market the following will be the result: the buyers issue their cheques which are debited to their various accounts with commercial or merchant banks, thus reducing the deposit base of these banks. As a result, the banks will be compelled to reduce their lending. Open market operations can be conducted both on the money market (for short-term securities like Treasury Bills and Treasury Certificates) and on the capital market (for long dated government stocks). These operations also help the monetary authorities influence rates and/or maintain stability on the market.

As already indicated, a precondition for the successful application of this instrument of monetary policy is the existence of well-developed money and capital markets. We do not presently have this in Nigeria. In practice, therefore, the CBN cannot effectively use this instrument. For instance, interest rate movements are strictly controlled by the monetary authorities, so they are not responsive to market forces.

In the light of this problem, this instrument has never been used by the Central Bank due to non-existence of highly developed money and capital markets. Other more direct control systems which will accelerate the rate of economic development and growth, while at the same time sustaining monetary stability are more commonly used.

10-2.3 Discount Rate System - Lender of Last Resort

As the lender of last resort, the Central Bank is prepared to lend to banks by granting them short-term direct advances or by re-discounting eligible bills presented by them. However, in performing this function, the Central Bank has to take full consideration of the economic condition of the country. Thus, the rate at which the Central Bank will lend to a commercial bank depends on the prevailing economic policy at the time. At the beginning of each financial year, the Central Bank

10-2.6 Reserve Requirements

In Nigeria all banks are required to maintain two major reserve ratios: a *cash ratio* and liquid assets reserves otherwise known as a *liquidity ratio*.

i) The Cash Ratio

Each commercial bank maintains a minimum amount of cash deposits with the CBN Banking Office, Lagos. The cash deposit is expressed as a ratio of each bank's total demand deposit liabilities. For this purpose, banks are grouped into four classes, based on the amount of total deposit liabilities. The classes and the new minimum ratio of cash to demand deposits which the commercial banks are required to maintain with the CBN in 1982 were:

Class Total Deposit Liabilities

Ratio of Cash
to Demand
Deposit
(Per Cent)

A	₦300 million or more	5.0
B	₦100 million or more, but less than ₦300 million	4.0
C	₦30 million or more, but less than ₦100 million	3.0
D	Less than ₦30 million	2.0

This discriminatory pattern is to ensure that large and small banks feel the impact of the scheme equally.

ii) Liquidity Ratio

All banks are required to maintain a minimum of 25% of their deposits in cash or approved securities. Apart from this statutory requirement, a bank must retain in liquid, or readily realisable form, sufficient funds to meet an abnormal or unforeseen demand by depositors for the repayment of their deposits. Hence, apart from protecting the depositors, it is also an effective instrument of monetary control in Nigeria.

While the ratio has remained at 25% for many years, the composition of qualifying assets has been changed several times. For instance, the introduction of sectoral distribution of loans and advances with certain fixed percentages allocated to agriculture and residential building

construction, banks are now required to deposit any shortfalls in their loans to agricultural and residential building construction with the CBN. However, such deposits do not count for the purpose of computing liquidity ratio. Similarly, cash balances for meeting the statutory cash reserves do not qualify for liquidity ratio computation. Advance Deposits for imports are also excluded from the computation. Deposits made with the CBN in respect of compulsory advance deposits for imports do not count in the liquidity ratio computation. The following are the currently specified liquid assets:

- vault cash;
- balances with the CBN;
- net inter-bank balances;
- money at call;
- Treasury Bills/Certificates;
- bills discounted;
- eligible development stock;
- Bankers Unit Fund; and
- Negotiated Certificates of Deposit.

As mentioned earlier, the CBN has the power to reduce the required liquidity ratio and its composition, thereby directly affecting the banks' ability to create credit. An increase in the ratio will reduce the banks' ability to create credit. An increase in the ratio will reduce lending and transfer funds to reserve assets, which will decrease in the ratio will have the opposite effect.

The CBN can also call on the banks to make *Special Deposits* which have the effect of reducing their liquidity. *Special Deposits* are usually frozen and do not form part of their eligible liquid assets. Lastly, the CBN can issue stabilisation securities to banks in order to mop-up excess liquidity. This category of monetary control instrument has been found to be quite effective in a developing economy such as Nigeria. It forms part of the overall direct control instrument discussed below.

10-2.7 Direct Control

It has been confirmed by the authorities concerned that there is the need to

vii) Liquidity Ratio

The minimum specified liquidity ratio remained at 25% in 1983. As in previous years, deposits made with the Central Bank in respect of shortfalls in loans to agriculture and residential building construction and cash holdings for meeting cash reserves requirements, discussed earlier on, do not count for the purpose of computing liquidity ratio.

viii) Interest Rate Structure

The interest rate structure was also reviewed in 1984. (See 7.2.5 above). The maximum rate applicable to all lending was fixed at 13%. Special rates were fixed for agriculture and real estate loans. The previous special rates for lending to the preferred sectors which had existed during the early 1980's were effectively abolished.

10-2.8 Other Prudential Ratios

i) Legal Lending Limit - Aggregate Credit

A bank in Nigeria cannot lend in aggregate more than 10 times its adjusted capital fund or 70% of its total deposit liabilities (i.e. time, savings and demand deposits). The computation of an adjusted capital fund is shown in (iii) below.

ii) Legal Lending Limit - Lending to One Borrower

Not more than 33% of the sum of paid-up capital and statutory reserves of a bank shall be lent to an individual borrower (i.e. the aggregate lending to the group must not exceed 33% of the bank's capital plus statutory reserves). This ceiling is of particular importance when the bank is dealing with a company with subsidiaries or associates maintaining accounts in one or more branches.

iii) Capital Funds

Except with the approval of the Central Bank, a bank may not apply its funds for payment of dividends to its shareholders unless the bank maintains a ratio of not less than 1:1.2 between its adjusted capital funds and its total loans and advances (i.e. the former should not be less than 8 1/3% of the latter).

Provision for bad and doubtful debts should be netted out of loans and advances before the calculation of the ratio. Adjusted capital funds are computed as follows:

$$\begin{aligned} & \text{plus} \quad \text{statutory reserve} \\ & \text{plus} \quad \text{undivided profit or general reserve} \\ & \text{plus} \quad \text{Profit and Loss Account balance} \\ & \text{plus} \quad \text{reserve for possible loan losses (as per bank's books)} \\ & \text{plus} \quad \text{interest on classified debts} \\ & \text{less} \quad \text{reserve for possible loan losses (recommended by CBN examiners)} \\ & \text{less} \quad \text{other known losses} \\ & = \quad \text{ADJUSTED CAPITAL FUNDS} \end{aligned}$$

The CBN 1986 guideline lays down a ratio between adjusted capital funds and total loans and advances of 1 to 12.

10-3 THE DEVELOPMENT FUNCTIONS

10-3.1 The Nigerian Money and Capital Markets

To promote economic development the Central Bank of Nigeria has contributed immensely to the creation and development of financial markets to mobilise and channel savings for economic growth. The Central Bank has created and nurtured the money and capital markets. In order to aid the development of the money market, the CBN introduced Treasury Bills in 1960 and Treasury Certificates in 1968. Since the creation of these money market instruments, the CBN has been directly involved in their management. Other money market instruments handed at one time or the other include Certificates of Deposit, Bankers' Unit Fund and the Call Money Fund. The bank also established clearing houses in Lagos and other urban centres to facilitate inter-bank settlements and enhance the effectiveness of money market transactions.

The CBN has been directly involved in the creation and the development of the capital market institutions such as the Nigerian Stock Exchange and the Nigerian Securities and Exchange Commission.

35% of the bank's other demand liabilities".² Later (in 1959) the Bank was required to maintain not less than 80% of its assets in the form of external reserves to back the new Nigerian Pound to be issued just before independence. The reserve/demand liabilities ratio was later reduced to 40% while for foreign exchange reserves the Bank now aims to achieve a minimum of foreign exchange reserves equal to the cost of the nation's imports for four months.

10-3.5 Exchange Control

The major reason for exchange control is to conserve a country's foreign exchange reserves. The authorities aim to achieve effective utilisation of these scarce foreign reserves by ensuring that only essential imports are allowed into the country.

An Exchange Control Act was enacted in 1962. Under the Act, the Federal Ministry of Finance is vested with overall responsibility for the administration of exchange control. The CBN has since been appointed its principal agent, while commercial banks, merchant banks, investment banks and some financial houses were appointed authorised dealers with powers to deal in foreign exchange in accordance with the directives and instructions issued by the Central Bank. Major hotels have also been appointed to act as authorised buyers. The new Second-tier Foreign Exchange Market which took off on September 29, 1986 brought a new dimension to Exchange Control matters. This subject is examined in detail in Chapter Four.

10-3.2 CBN's Role in Other Government-Sponsored Financial Institutions

The Central Bank has played an active role in the promotion of development-orientated banks such as the Nigerian Industrial Development Bank (N.I.D.B) and the Nigerian Bank for Commerce and Industry (N.B.C.I).

The Nigerian Industrial Development Bank was established in January, 1964 and specialises in the provision of medium and long-term finance for industries, either by way of loans or by taking up equity shares.

The Nigerian Bank for Commerce and Industry established in 1973 was set up to provide medium and long-term finance by loans or equity participation to indigenous enterprises engaged in industry and commerce. Other development financial institutions include the Nigerian Agricultural and Co-operative Bank and the Federal Mortgage Bank. The Central Bank subscribes to the equity capital of these government-sponsored financial institutions which will be examined in more detail in Chapter Eleven.

10-3.3 CBN's Role in National Economic Policy Formulation

Every year the Central Bank of Nigeria makes concrete contributions to the Federal budget through the Ministry of Finance. The Governor of the Central Bank is a member of the National Economic Advisory Council and the Productivity Prices and Incomes Policy Board. The Bank also makes important contributions to the development of the Nigerian economy in the area of economic research through its Research Department. In addition, it assists the government in implementing its rural banking programme, which has helped considerably to spread the banking habit and development in the country.

10-3.4 Maintaining External Reserves

The country's external reserves are managed by the Central Bank. The Bank was required initially to maintain an external reserve level "not less than the aggregate of an amount representing 60% of the Bank's notes and coins in circulation together with an amount representing

REVIEW QUESTIONS

- 10.1 What functions are carried out by the Central Bank of Nigeria?
- 10.2 What are the main features of the Monetary Policy Circulars (Credit Guidelines) issued annually by the Central Bank of Nigeria?

10.3 Write short notes on:

- i) Legal lending limit - aggregate credit.
- ii) Lending to one borrower - limits on large loans.
- 10.4 Explain briefly why the CBN cannot effectively use open market operations to control the lending of banks.

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CHAPTER ELEVEN
COMMERCIAL BANKING

11-1 DEVELOPMENT OF COMMERCIAL BANKING IN NIGERIA

11-1.1 Brief History

i) *British Bank of West Africa*

The first commercial bank - the African Banking Corporation - opened its first branch in Lagos in 1892. Messrs. Elder Dempster & Co., a shipping firm based in Liverpool, was instrumental in its formation. The bank experienced some initial difficulties and eventually decided to transfer its interest to Elder Dempster & Co. in 1893. This led to the formation of a new bank known as the British Bank of West Africa (BBWA) in 1893 with £10,000 capital later increased to £100,000 during the same year. It was registered in London as a limited liability company in March 1894 and the first Lagos branch was opened in the same year. Other branches were opened in major West African cities like Accra, Freetown and Bathurst. The bank opened its second Nigerian branch in Old Calabar in 1900.

Another bank called the Anglo-African Bank was established in 1899 in Old Calabar by the Royal Niger Company (now UAC) to compete with BBWA. The bank later changed its name to Bank of Nigeria and established branches in Burutu, Lokoja and Jebba. However, due to fierce competition and the monopoly for the importation of silver from the Royal Mint enjoyed by BBWA, they sold out to BBWA in 1912.

ii) *Barclays Bank DCO (Dominion, Colonial and Overseas)*

This bank opened its first branch in Lagos 1917. (It is now known as The Union Bank.) Soon after, 9 other branches were opened. The Nigerian banking scene was, therefore, dominated by these two British banks - BBWA and Barclays Bank DCO between 1894 and 1933.

iii) *British and French Bank*

The British and French Bank, now called United Bank for Africa Ltd., was established in 1949 making it the third expatriate bank to dominate early Nigerian commercial banking.

The foreign banks came principally to render services in connection with international trade, so their relations at that time were chiefly with

therefore, set up a commission of inquiry — the Paton Commission. Consequently upon the report of the Commission the first banking legislation was passed in 1952.

In spite of the enactment of the Banking Ordinance of 1952, banks were still indulging in some malpractices which the Act could not effectively control. Therefore, the necessity of establishing a Central Bank to supervise and control the banks became more apparent and pressing. Thus, the Central Bank came into being in 1959.

A new Banking Ordinance was promulgated in 1958. Through this Act, the conditions for establishing new banks were tightened and the capital requirements, especially for foreign banks, were doubled from ₦200,000 under the 1952 Act to ₦400,000. This was again increased to ₦1.5 million in 1969.

11-2 STRUCTURE

The structure of commercial banking in Nigeria is tailored towards that prevailing in the UK. Other countries in the Commonwealth, and indeed most countries of the Western World, have the same structure which can be described as the branch banking system. Branch banking is characterised by a single banking company conducting operations at two or more places. Usually, the branches are controlled from a central point. The branch offices may be located in the same city, state or in another state depending on the banking law and regulation of the country. Branch banking is practised fully in Nigeria. This is characterised by a few large banks with a wide network of branches extending throughout the country. For instance, the UK has only eight main clearing banks (commercial banks) with over 12,000 branches serving the banking needs of the country.

However, the USA has a unique banking structure with a unit banking system (i.e. numerous individual local banks). Unit banking permits banking services to be provided by a single office institution. It is estimated that a third of banking offices in the USA are unit banks. Some states permit only unit banking, some allow limited branching, while a few allow state-wide branching. The USA has about 15,000 individual banks, operating approximately 25,000 branch offices, all of which (with minor exceptions) are at least confined to the state boundaries of the parent company and often restricted to an even

the expatriate trading companies and with the government. They largely ignored the development of local African entrepreneurship together these 3 banks controlled close to 90% of aggregate bank deposits. From 1914 to the early 1930's, several abortive attempts were made to establish locally owned and managed banks to break the foreign monopoly.

(iv) Indigenous Banks

In 1929, the Industrial and Commercial Bank was set up by a handful of patriotic Nigerians. It folded up in 1930 due to under-capitalisation, poor management and aggressive competition from the expatriate banks. In 1931 another indigenous bank, the Nigerian Merchantile Bank was established. Like its predecessor, it went into liquidation in 1936. With greater courage and planning, the same group of pioneers in 1933 launched the National Bank of Nigeria Limited, which was the first indigenous bank to survive. The next private indigenous bank to be established was the Agbomnagbe Bank founded by Chief Okupe in 1945. This bank was taken over by the Western State Government in 1969 and its name was changed to Wema Bank. The fifth Bank, the Nigerian Penny Bank, set up in the early 1940's collapsed in 1946 under the weight of mismanagement. This was followed by the Nigerian Farmers & Commercial Bank in 1947 which failed in 1953. The Merchants Bank opened for business in 1952 and closed in 1960. Indeed, this was a period of free-for-all banking. Between 1947 and 1952 a total of 22 banks were registered in Nigeria according to a study conducted by the CBN. However, a figure as high as 185 banks was quoted from government records and was confirmed by the Financial Secretary as the number actually registered as banking companies between 1947 and 1952, of which 145 were registered in 1947 and 40 in 1952.¹ Most of these banks however, merely registered without actually commencing operations. The next successfully established indigenous bank was the African Continental Bank founded by Dr. Nnamdi Azikiwe in 1947.

The need for legislation for the control of banking in Nigeria became very apparent if only to protect depositors. The Colonial Government,

Table 11.1
Commercial Banks Registered in Nigeria From
1892 - 1982

Commercial Banks		Date Established	Remarks
+1	African Banking Corporation	1892	Merged with BBWA
+2	Bank of British West Africa	1894	Now First Bank of Nigeria Limited.
+3	Barclays Bank DCO	1917	Now Union Bank of Nigeria Limited.
+4	The Industrial & Commercial Bank	1929	Failed 1930
+5	The Nigerian Mercantile Bank	1931	Failed 1936
+6	National Bank of Nigeria	1933	
+7	Abdounagbe Bank	1945	Now Wema Bank
+8	The Nigerian Penny Bank	?	Failed 1946
+9	African Continental Bank	1947	
+10	The Nigerian Farmers & Commercial Bank.	1947	Failed 1953
+11	British and French Bank	1947	
12	Merchants Bank	1948	Now United Bank for Africa Limited.
13	Pan Nigerian Bank	1952	Failed 1960
+14	Standard Bank of Nigeria	1951	Failed 1954
15	Premier Bank	1951	Failed 1954
16	Nigerian Trust Bank	1951	Failed 1954
17	Afroseas Credit Bank	1951	Failed 1954
18	Onward Bank of Nigeria	1951	Failed 1954
+19	Central Bank of Nigeria	1951	Failed 1954
20	Provincial Bank of Nigeria	1951	Failed 1954
21	Metropolitan Bank of Nigeria	1952	Failed 1954
22	Union Bank of British Africa	1952	Failed 1954
23	United Commercial (Credit) Bank	1952	Failed 1954
+24	Cosmopolitan Credit Bank	1952	Failed 1954
25	Mainland Bank	1952	
26	Group Credit & Agricultural Bank	1952	

27	Industrial Bank	1962	Failed 1954
28	West African Bank	1962	Failed 1954
29	Muslim Bank	1958	
+30	Banque de L'Afrique Quidentale	1958	
31	Bank of Lagos	1959	Now I.B.W.A. Ltd.
32	Berni (Beirut-Riyad) Bank	1959	Surrendered its licence in 1965.
+33	Bank of the North Limited	1959	
+34	Bank of America NT & SA	1960	
35	Ehase Manhattan Bank	1961	Now Savannah Bank of Nigeria Limited.
+36	Bank of India	1962	Merged with Bank of West Africa (now First Bank in 1965).
+37	Arab Bank	1962	Now Allied Bank of Nigeria Limited.
+38	Co-operative Bank of W/Nigeria	1962	Now Nigeria-Arab Bank Ltd.
+39	Co-operative Bank of E/Nigeria	1962	Now Co-operative Bank Ltd.
+40	Mercantile Bank Ltd.	1971	Now Co-operative and Commerce Bank (Nig) Ltd.
+41	Pan African Bank Ltd.	1971	
+42	Kaduna Co-operative Bank	1971	
+43	Kano Co-operative Bank	1974	
+44	Societe Generale Bank	1976	
+45	Bank of Credit & Commerce International (Nig) Limited	1977	
+46	New Nigerian Bank Ltd.	1979	
+47	Owena Bank Ltd.	1971	
+48	Progress Bank Ltd.	1982	
+49	Habib (Nig.) Bank Ltd.	1982	
+50	Lobi Bank of Nigeria Ltd.	1983	
+51	Commercial Bank (Credit Lyonnais) Nigeria Ltd.	1983	
+52	Nigerian International Bank Ltd.	1984	
+53	Sokoto Co-operative Bank Ltd.	1985	
+54	Universal Trust Bank Limited	1985	

* No connection with Central Bank of Nigeria.

+ Existing Commercial Banks - 1985.

greater degree depending on the governing state legislation. The banking system in the USA has also been described as a dual system, meaning that banks are subject to either Federal or State regulatory control, and in some matters both.

Commercial banking institutions in Nigeria can be classified into two: the purely indigenous banks, owned 100% by Nigerians (governments and individuals) and the mixed banks, with a majority indigenous shareholding (at least 60% equity), and minority foreign interests. (Nigerian law does not any longer allow the establishment of foreign banks with a majority foreign interest.)

11-3 SERVICES OFFERED BY COMMERCIAL BANKS

The services offered by commercial banks are numerous. In this section we shall attempt to discuss the most important ones, which include:

- i) mobilisation of savings and other deposits;
- ii) extension of credit facilities to customers;
- iii) providing facilities for the transfer of funds;
- iv) management of customers' investments and advising on insurance matters;
- v) creating money;
- vi) providing facilities for the financing of international trade (e.g. documentary credits);
- vii) safekeeping of valuables;
- viii) brokerage services (i.e. buying and selling of stocks and shares) for their customers;
- ix) providing foreign exchange facilities for travellers;
- x) providing night safe facilities;
- xi) providing business status reports and references; and,
- xii) business advisory service.

11-3.1 Mobilisation of Savings

In Chapter Three we discussed the role of commercial banks as savings institutions and as financial intermediaries. We saw how

commercial banks perform a very important service to all sectors of the economy by providing facilities for the mobilisation of savings and making the funds available for investment purposes by the process of granting credit facilities to other customers. Thus, these funds are made available to businesses to enable them to expand their productive capacity and to individuals and households to facilitate consumption.

11-3.2 Extension of Credit Facilities

According to Reed et al (1984), the primary function of commercial banks is the extension of credit to worthy borrowers. In making credit available, commercial banks are rendering a great social service; through their actions, production is increased, capital investments are expanded, and a higher standard of living is realised.

Banks make it possible for industries to produce a larger quantity of goods which may remain in stock as inventory before eventually being sold or reprocessed into another form. A good example is the food industry where the quantity produced may be far in excess of what can be consumed immediately. By providing credit facilities to canners, for instance, they will be in a position to purchase, can, and store the food that may at a later time be sold to retailers and ultimately to consumers. During this interval of time - from producer to canner, to wholesaler, to retailer and finally to consumer - bank loans have made possible the economic handling of the food crop (Reed et al 1984).

i) Types of Credit Facilities

a) Loan Accounts

The loan facility is mainly, but not exclusively, used by sole traders and individuals such as salary earners to help them over a difficult period or supplement the payment of school fees, medical bills and some unforeseen expenses. The amount granted is generally small and it is repayable in the shortest possible time.

When a loan is granted to Mr X a new account entitled 'Mr X Loan Account' is opened in the books of the bank. This will be in addition to his normal current account. First, the amount of the loan will be debited to Mr X's current account either by a cheque drawn by him or by a debit voucher to draw the

approved loan in cash. Then the current account will again be credited with the same amount, while the new account (Mr X's Loan Account) will be debited with the amount of the loan. Thus, the current account will revert to its old position as it was before the loan was granted, while the new account (i.e. the loan account) will carry a debit balance being the total loan granted to Mr X. If repayment is on a monthly basis the loan account will be credited with the agreed amount every month while the current account absorbs the debit. The deductions will continue until the loan is totally liquidated. Repayments will also take into consideration the interest element.

Operating a current account is not always a *sine qua non* for obtaining a loan. A loan can be granted and a loan account created without a current account. Cheques will then be required monthly to cover the agreed monthly repayments. Repayments can be made by sending a cheque covering repayments for 3 months, 6 months or more. Interest charges are paid upon demand.

On some occasions a business customer may have a need for medium to long-term finance for extending the business premises of the company or buying new and more sophisticated machines. In Nigeria, the merchant banks specialise in this area. However, commercial banks are now also undertaking more term lending. In such cases the bank will lend on a loan account.

b) Overdrafts

Commercial banks are usually more interested in short-term lending, so funds advanced on overdraft are in theory repayable on demand, while interest is payable on the outstanding balance on a daily basis.

Overdraft facilities are generally granted to business customers - large corporate bodies and some medium/small-scale enterprises. A company is granted an overdraft of say ₦500,000 until a specified date or until further notice. The facility is generally renewable at expiry, provided it has been operated correctly and the bank considers that the customer is still a good risk. An overdraft is intended to fluctuate within the agreed limit but need not always be utilised (i.e. the account can sometimes be in credit).

iii) Other Services

a) Medium and Long-Term Loans

In Nigeria one of the major differences between commercial banks and merchant banks is the line of demarcation drawn between short-term and medium or long-term financing. By the nature of the sources of their funds, commercial banks are expected to provide only short-term facilities on loans or overdrafts to their customers which, in theory, are repayable within one year. This means that commercial banks provide mainly short-term facilities for working capital purposes. On the other hand merchant banks provide medium-term finance for expansion and development plans lasting over several years. Facilities are granted for periods between 3 and 7 years.

In recent years most of the leading commercial banks in Nigeria have started to widen the scope of their operations by setting up Corporate Service Offices which specialise in providing short and medium-term finance to their corporate customers. Such finances are provided to businesses for factory construction and for the purchase of plant and machinery (i.e. project financing).

b) Performance Bonds

This service is provided to customers in the building and contracting industry where they are required to supply a performance bond before they can tender for contracts. The bond guarantees that the company has adequate financial resources to execute the contract successfully. When a banker gives such a guarantee, it usually takes a counter-indemnity so that he can claim against the customer in case of default.

c) Guarantees and Indemnities

An example is when a shareholder has lost his share certificate and has applied for a duplicate certificate to be issued to him. Before a company consents to such a request, it will want a banker to add his guarantee to the request to reassure the company of its genuineness. As in the case of

d) Bankers Drafts
A bank draft is a cheque drawn by a branch of a bank on another branch. It is issued on request to a customer who is compelled to make payment to a payee who wants to make sure that the cheque will not bounce. Bank drafts are requested for when large payments are involved and when the payee has to part with valuable articles due to the high incidence of bouncing cheques in this country.

11-3.3 Transfer of Funds or Money Transmission

i) Collection of Cheques

Customers of banks receive cheques on which their names appear as payee. The customers fill the appropriate forms in duplicate, called the credit or paying-in slip, and deposits the cheque into their accounts. A copy of the credit slip is returned to the customer as his receipt. The cheques are then presented to the paying banker, through the Clearing House system. The customer's account may be credited on the day he pays in the cheques, but normally he is not allowed to draw against them before they are cleared, unless he has a special arrangement with the bank.

ii) Standing Orders

Customers making regular monthly or quarterly payments to, say, an insurance company or to the Federal Mortgage Bank or in respect of subscriptions to clubs, institutes and so on, may give banks standing instructions to effect such payments as and when due. Sufficient funds must be kept in the account to absorb the debit on the due date.

iii) Direct Debiting

As an alternative to the standing order, a customer may prefer that the creditor make a direct claim on his account, with instructions that such claim should be paid by the bank on each occasion. The arrangement is very suitable for large creditors such as finance houses and insurance companies. Before this arrangement can be effected the customer must authorise his bank to meet the claim.

iv) Mail/Telegraph Transfers

A customer can transfer funds to a third party resident in another part of the country through his banker. Depending on how urgently he wants the funds to be transmitted, the transfer can be done by mail or by telegram or cable. This type of money transmission system can also be used to transfer funds to another country. Where a payment is required at another bank the request is usually passed through the head offices of the two banks.

v) Open Credit or Cashing Credits

When a customer is travelling to another town to do business which will necessitate his staying there for some days or weeks, he can request his bank to establish an open credit for him. The customer's bank will authorise the branch concerned to honour all cheques drawn by the customer up to a certain limit. The specimen signature of the customer will be sent to the branch concerned. This arrangement can also be made with a branch of another bank where it is not represented.

11-3.4 Creating Money

This important function of commercial banks was fully discussed in Chapter One. If banks had been unable to create credit, it would have been impossible to expand our productive facilities which would have resulted in the slowdown of economic activity generally, as businesses would have been forced to wait until sufficient profits are made before they could expand. Moreover, productive units would be forced to maintain larger working balances to meet the fluctuating requirements of funds. Such a practice would be uneconomic since large sums would have to be held idle for some periods, while during the seasonal peaks of business activity such sums might be insufficient (Reed et al, 1984). However, the money creating activity of commercial banks is kept under control by the monetary authorities to ensure that it is not excessive. Money supply growth must not be excessive otherwise unnecessary inflationary pressures might arise. On the other hand, if money supply lags behind productive capacity, the economy may suffer from deflation. The objective of the monetary authorities is to maintain a level of money supply and its growth rate at a level which will foster stable prices, sound economic growth and a high level of claim.

employment. The commercial banks play a very crucial role in the attainment of these objectives, through the various monetary policy instruments discussed earlier.

11-3.5 International Trade Services

All commercial banks are now very involved in the financial aspects of international trade and the services required to support this important part of the country's economy.

i) Bills for Collection

Assume that the customer is an exporter and that he is shipping goods to a buyer in New York, USA. The goods are being shipped on a collection basis. The exporter draws a bill of exchange payable on a specified date on the importer. The Nigerian exporter then gives the bill to his Nigerian banker to collect the proceeds on his behalf. The bank sends the bill to its correspondent in New York and requests that the bill be presented at the end of the term for payment. When the proceeds are received, the customer's account is credited with the net amount equivalent.

In some cases the customer may forward the bill direct to the importer in New York for acceptance. After which the bill is returned to him. He then attaches the necessary documents to the bill when demanded, and passes it to his bankers who will forward it to New York for payment. A bill with documents attached to it is called a documentary bill. (If no documents are attached, it is a clean bill.) The customer will give clear instructions to the bank as to whether documents are to be released against acceptance - Documents Against Acceptance (D/A) - or only against payment - Documents Against Payment (D/P).

ii) Bills for Negotiation

If the customer is in need of funds and wants the proceeds of the bill immediately, he may request his bank to negotiate the bill. This means that he sells the bill to the bank. The bank pays the customer the face value of the bill less a discount. It must be noted, however, that such negotiation is done with recourse. This means that if the acceptor fails to pay the bank, the bank will claim from the customer. In such a situation the bank may ask the customer for security. If it is a documentary bill, the documents will form part of the security.

iii) Documentary Credits

Nigeria being a major importer of manufactured goods, plant and machinery from abroad, we will consider a hypothetical case of a Nigerian importer receiving goods from a UK exporter. As soon as the exporter sends his goods, he receives a bill of lading from the ship's master (or, in the case of airfreight, an airway bill from the airline). Prior to this he will have prepared an invoice showing details of the goods and their cost. He is also required to insure the goods and after doing this he obtains an insurance certificate.

The bill of lading, the invoice and insurance certificate form the necessary papers required for a documentary credit. The documents are forwarded to the importer in Nigeria through a correspondent bank, also called the collecting bank, by the quickest possible means, as the Nigerian importer cannot claim the goods without the bill of lading.

This system gives protection to both the importer and the exporter. The exporter retains control of the goods until he is paid, since documents will not be released unless payment is effected. The importer too will be able to scrutinise the documents to make sure the description, cost and quantity of the goods are in conformity with the original contract.

One of the means devised by banks to handle this process is the documentary credit system. The exporter is expected to indicate how payment is to be effected. If a documentary credit is stipulated, the importer will instruct his bankers to open a letter of credit in favour of the exporter. He will list all the conditions that must be fulfilled and the documents that must be submitted before payment can be made. Usually, the documents are the same as those discussed above, although there could be a number of additional documents required.

After the opening of the letter of credit, the importer's bank will send a notification of the opening of letter of credit in favour of the exporter to its correspondent in the city where the exporter resides. The agent bank will then send a copy of the notification to the exporter. Depending on the terms of the credit, the agent bank

may add its confirmation to the credit (i.e. its own undertaking to pay if all conditions are fulfilled). Thus, the bill becomes a confirmed credit. The credit may also be revocable or irrevocable. Generally, the terms of the credit cannot be altered without the agreement of all the parties.

Upon receipt of notification that a letter of credit has been opened in his favour, the exporter can rest assured that he will be paid as soon as he fulfils his own side of the bargain. A letter of credit is normally opened for a reasonable period of time.

As soon as the UK exporter ships the goods he presents the documents of title to the agent bank in London and receives payment after the documents have been carefully scrutinised and found to be in order.

The agent bank forwards the documents in two separate mails to the importer's bank in Nigeria and debits the importer's bank with the cost plus charges. An extra charge is levied if the agent bank (in UK) has itself confirmed the credit. The importer's bank (in Nigeria) checks the documents, and if in order, debits the customer's account with the total cost plus all the charges, including its own.

(iv) *Open Account*

When goods are shipped by an exporter and he sends documents of title direct to the buyer with instructions that payment be effected on or before a certain date, such goods are said to have been shipped on open account basis. In this type of transaction, the credit worthiness of the importer should not be in doubt, so for obvious reasons, it will not be available to an importer who is just developing a trading relationship with an exporter.

11-3.6 Safe Keeping of Valuables

As bank strongrooms are one of the safest places to keep valuable articles, customers usually keep their government stocks, share certificates, life assurance policies, certificates of occupancy (i.e. official title to landed property), deeds of conveyance, wills and jewellery in them for safety. Articles can either be deposited in sealed boxes or envelopes with the contents unknown to the bank officials, or made open when the articles are listed and signed for.

A banker enters into a contract of bailment when safe custody items are received from a customer. If the bank charges for the service, he is a paid bailee, and if he does not charge he becomes a gratuitous bailee. In law, the paid bailee is expected to show greater care in the handling of the articles.

11-3.7 Brokerage Services

Commercial banks in Nigeria can engage in brokerage services, that is, the buying and selling of securities for their customers. They cannot act as stockbrokers or issuing houses. Thus, the instructions of their customers are passed to stockbrokers and merchant banks for execution. Commercial banks cannot act as underwriters.

11-3.8 Services to the Traveller

(i) *Travellers' Cheques*

All commercial banks and merchant banks in Nigeria offer services to travellers by providing them with travellers' cheques and foreign currency. Travellers' cheques are a form of travel currency giving the holder the security of a letter of credit and the convenience of a local currency. They are issued in several denominations of the currency and are encashable at the correspondents of the issuing bank abroad. In practice, they are also usually acceptable at hotels, departmental stores, etc. Travellers' cheques can be denominated in several foreign currencies, but in Nigeria they are generally in dollars or sterling. The holder signs the cheques on their issue. When they are to be cashed the holder countersigns them in the presence of the cashier who checks the signatures before effecting payment.

In the event of loss of travellers' cheques a report should be filed immediately to the issuing bank by letter or cable. Invariably, the holder will be reimbursed fully for the loss in all genuine cases.

(i) *Foreign Currency*

Foreign currency notes especially the pound sterling and US dollars are available in limited quantities from all banks in Nigeria. These can be obtained to meet minor expenses like taxi or bus fares prior to encashing travellers' cheques, when on a journey. Unused travellers' cheques and foreign notes can be cashed on return from foreign travel at the issuing bank. Nigeria has stringent foreign exchange regulations which limit the amount of foreign currency and travellers' cheques that can be obtained.

11-3-9 Night Safes

A few banks provide this service in Nigeria. It enables customers to make deposits after normal banking hours. The customer is provided with a night safe which can be locked. The customer puts his paying-in slip and the cash in the wallet supplied, locks it and posts it in the safe through the exterior wall of the bank.

The wallets are cleared in the morning and the customer's account credited. This service is particularly suitable for shopkeepers wishing to bank the day's takings rather than leave them in the shop overnight or carry large amounts home.

11-3-10 Status Inquiries

When a customer gives his bank's name to a supplier or to another bank for reference purposes, a request is sent to the customer's bank for brief assessment of the customer's financial standing. This is a reciprocal service among banks. In most cases the reply appears vague to the layman, but it means a great deal to the bank receiving the reply. A typical reply may read 'considered good for your figures' (an unfavourable reply) or 'we cannot speak for your figures' (an unfavourable reply). A suitable tactfully worded unfavourable reply could be put as follows: 'On the figures before us we are unable to answer your enquiry, but we do not think that our customer would enter into any contract which he could not see his way clear to fulfil'.

Banks have developed a whole series of stereotyped replies which they can easily interpret. For instance:

- i) 'Undoubted for your figures' - this indicates considerable strength.
- ii) 'Considered good for your figures' - satisfactory.
- iii) 'Should be good for your figures' - this indicates some degree of doubt.

This service is provided in respect of both personal and business customers.

11-3-11 Business Advisory Service

One or two banks in Nigeria have started offering this service to their customers. The aim is to assist small business customers to develop

their business in such a way that they can attract bank finance. Small scale traders are taught how to introduce simple record keeping and accounting into their operations. Union Bank, the pioneer in the provision of this service, has reported significant success.

11-3-12 Cheque Cards

This service is presently not available in Nigeria, although it is probable that banks will offer the service soon. Cheque cards are used mainly as shopping cards. The shopper is able to take immediate delivery of small purchases in shops without the use of cash. The shopkeeper has the advantage of guaranteed payment and does not incur bad debts in receiving cheques backed by cheque cards, provided all the conditions are observed.

Apart from their use as shopping cards, cheque cards can also be used to obtain cash. For instance, the cheque card holder in the UK can cash his personal cheque at almost all banks up to the value of £50 per day. All that is required is for him to produce his cheque card, sign his cheque in the presence of the paying cashier who compares his signature with the signature on the card and, if they agree, payment is effected immediately.

For the successful operation of the cheque card system the following conditions and guidelines must be noted.

- i) The customer must be credit worthy.
- ii) The customer must undertake not to keep the cheque card and cheque book together.
- iii) The customer must undertake to inform the bank immediately a cheque card or book is lost.
- iv) The customer must understand that even if a cheque contains technical error (e.g. wrong date) it will still be paid.
- v) Cheques presented after death or bankruptcy, etc. will still be paid.
- vi) Any cheque issued cannot be countermanded.
- vii) The card is the property of the bank and can be withdrawn at any time. A criminal offence is committed if the customer uses or attempts to use the card after cancellation or withdrawal.

- (vii) The cheque must be issued in the presence of the payee or the payee's representative who will identify the picture of the drawer, where photographs are used.
- (ix) The signature of the drawer must correspond with the specimen on the cheque card.
- x) The amount required must not exceed the limit on the cheque card.
- (xi) The payee must give details of the cheque card on the back of the cheque. It will be sufficient to give just the number.

11-4 GOVERNMENT PARTICIPATION IN COMMERCIAL BANKING

11-4.1 Rationale

It is necessary to point out that government participation in banking is not a new phenomenon. Major banks in France, Italy and India are owned by the government. Without the Bank of England, which itself is owned by the British government, the Industrial Commercial Finance Corporation (ICFC) Ltd. and the Finance Corporation for Industry (FCI) would probably not have been established. Similarly, the Industrial Development Bank of Canada and the Indian Industrial Development Bank Limited are all government owned. Viewed against the above background, government participation in banking in Nigeria could be said to be following trends already consolidated in other countries. It is a matter of fact that without government participation, there would have been no indigenous banking in Nigeria today. The crucial questions, however, are:

Why did the government decide to participate in Nigerian banking? What objectives do the authorities wish to achieve in the process? Is the approach adopted by the government the only and best way of achieving these objectives? Given the objectives and the strategy adopted, what is the structure of a balance sheet of the achievement of government participation in Nigerian banking?

It is easy to identify two aspects of government participation in banking in Nigeria. One is the Regional/State Government participation and the other is the Federal Government participation.

The State Government participation dates back to 1954. In that year, only three of the mushroom banks of the late 1940's and early 1950's were still in existence. It was, however, a very fragile and shaky existence. They faced imminent closure because the three years' grace allowed them for licensing under the 1952 Banking Ordinance was fast expiring. It was to save them from this fate that the then Eastern Region Government pumped public money into the ACB Limited. The Western Regional Government also salvaged the National Bank Limited and later the Agbommagbe Bank, now the Wema Bank. The Federal Government interest in banking dates back to the early 1950's. This was evident in the passing of the first Banking Ordinance in 1952 and in the adoption of a private member's motion in the House of Representatives which led eventually to the establishment of the Central Bank of Nigeria in 1959.

In conclusion, the rationale for government participation, indeed of indigenous banking in Nigeria, as advanced by the Nationalists, could be summed up by the following:

- i) to break the monopoly power and discriminatory practices of the expatriate banks in the granting of loans and advances;
- ii) to give financial assistance to indigenous banks so that they are able to provide credit facilities to Nigerian businessmen and women; and,
- iii) to provide an avenue for indigenous banking by lending weight to the required cushion against the shock of confidence arising from the collapse of the banking boom of the late 1940's.²

It is necessary to state that these were a *sine qua non* given the bitter experience with the then indigenous banks.

11-4.2 The Participation Process

The forerunner of the participation process was the declared objective in the Second National Development Plan "... to control the commanding heights of the economy". The aim of this participation is for government to get intimately involved in commercial banking in order to guide it to operate to the maximum benefit of the economy. This is as much in its own interest as it is in the interest of the economy.

² G.O. Nwankwo: "British Overseas Banks in Developing Countries" Institute of Bankers' Journal June 1972.

Government participation, which was initially fixed at 40%, was extended to 60% in 1976 with the signing of the participation agreement which provided for the following:

- i) The Federal Government appointing a number of Nigerian citizens and some officials to represent her interest on the Boards of Directors.
- ii) Mandating the Nigerian Directors to ensure that the management of the bank operate within the broad policy guidelines of the government.
- iii) Ensuring that the banks should to the extent consistent with banking prudence:
 - a) increasingly undertake more medium and long-term lending designated as such;
 - b) conform to avowed national objectives and identify fully with Nigerian aspiration by taking a more active part in the financing of the economic programmes of priority;
 - c) be brought under Nigerian Control in ownership and management (i.e. decision-making in the commercial banking sector must be localised); and,
 - d) that a significant part of their profits be used to improve the quality of the services offered.

In pursuance of the above provisions in the participating agreement, corporate objectives were spelt out for the banks to achieve under their new Boards of Directors. The objectives, which are essentially in harmony with national interest, include:

- i) achievement of optimal growth rate in terms of deposits, assets and branch network;
- ii) promotion of public confidence in the ability of banks to meet their deposit obligations;
- iii) development of a well integrated and competent Nigerian staff.

11-5 THE ORGANISATION STRUCTURE OF A NIGERIAN

COMMERCIAL BANK

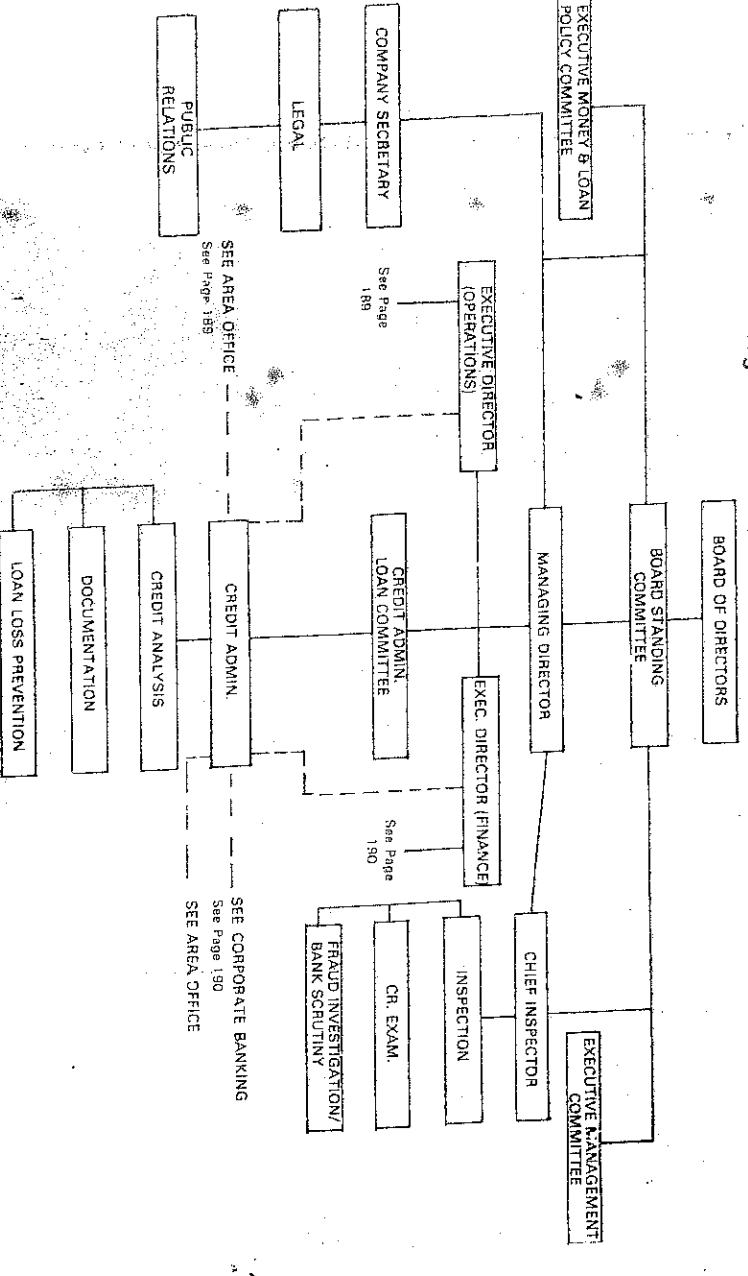
- (iv) promotion of employment opportunities;
- (v) development of export orientated industries, particularly those in the non-oil sectors; and,
- (vi) establishment of units in the banks to assist in the development of agriculture and small and medium scale industries.

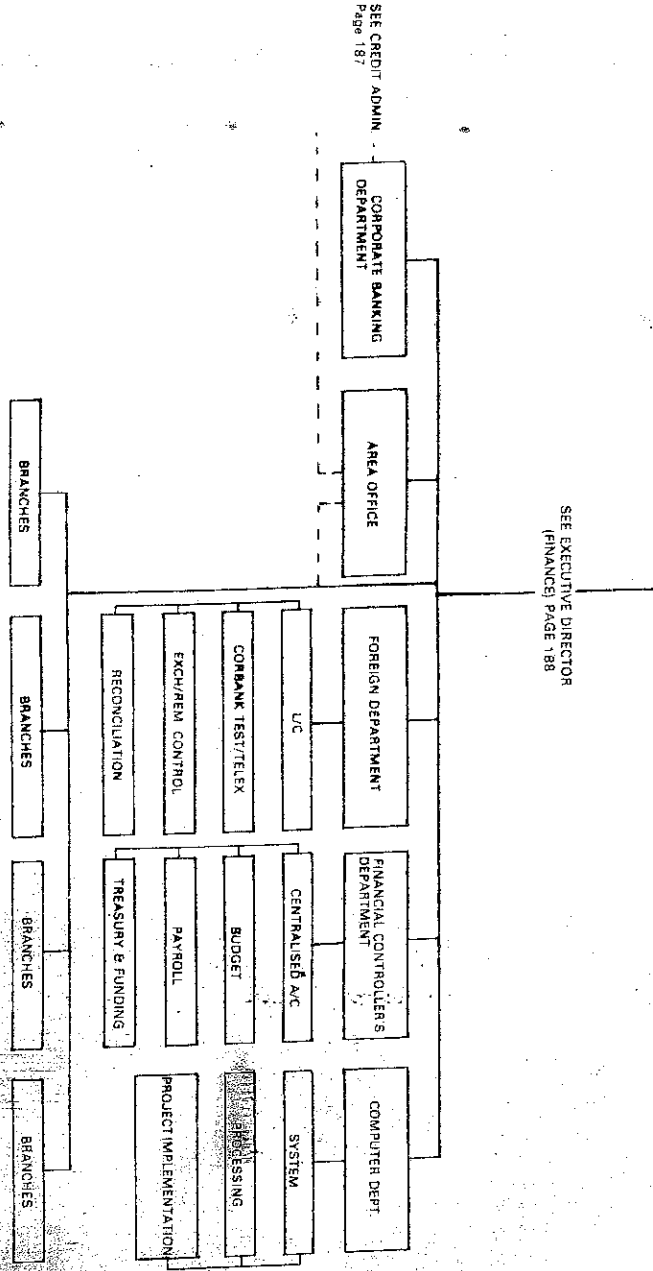
One common feature in the organisational structure of all major banks in Nigeria is the fact that their Head Offices are located in Lagos or in a State Capital, with Area Regional offices in major cities up-country. The Area Offices have a number of branches under their control.

As in any other company, the shareholders are the owners of the bank. The Chairman and the other directors of Banks are appointed by the Federal and State Governments which own majority share holdings in nearly all the banks in Nigeria. The directors usually meet periodically to formulate the policy of the bank. This includes discussing management reports, approving changes in top management personnel, approving budgets and large loans and discussing other problems and policies with the management of the bank.

The Managing Director and the Executive Directors are usually the top management of the bank. They conduct the day-to-day affairs of the bank. Other members of the Board of Directors are not full time employees of the bank. There is normally one Managing Director assisted by 2 to 4 Executive Directors depending on the size of the bank. The Managing Director and the Executive Directors are full time employees of the bank, appointed by the Federal or State Government. For banks controlled by the Federal Government, the appointments are made by the Federal Ministry of Finance. After the Managing Director and Executive Directors come the Heads of Departments who report to the appropriate Executive Director. (Heads of Departments are called Assistant or Deputy General managers in some banks.) Examples of Heads of Departments are: The Financial Controller or Assistant General Manager (Finance). The Chief Inspector, the Credit Administrator or Head of Advances Department. The Head of Operations Administration, The Chief Personnel Manager, The Assistant General Manager (Computer).

Table 11.2
Organisation Chart of a Typical Nigerian Bank





As can be seen, each Head of Department has a responsibility for a specific function in the bank. Closely following the Heads of Department are the Heads of some specialist services units like foreign, corporate finance, legal, public relations some of whom report to Heads of Departments, while some have direct reporting relationship with the Executive Directors.

Most banks in Nigeria have Area Offices headed by Area Managers who have higher lending authorities than Branch Managers to facilitate the processing and approval of loans. After the Area or Regional Manager follows the Branch Manager. (The organisational structure of a typical branch will be examined in 8-6 below.) For now we will examine the functions of departments in more detail.

i) Financial Controller's Department or Chief Accountant's Department
This department is responsible for the preparation of the bank's monthly consolidated Profit and Loss Account and Balance Sheet. Quarterly, half-yearly and annual accounts are also prepared. The External Auditors come in once or twice a year to audit the books of the bank and the draft accounts prepared by the department. In most banks the department is responsible for asset and liability management, and for financial analysis, budgeting and planning. In some banks the Head of this Department is called Deputy or Assistant General Manager (Finance).

ii) Chief Inspector's Department
It is essential to ensure that each branch of the bank operates in accordance with the instructions laid down by Head Office in order to safeguard the assets of the bank. Branches are, therefore, inspected periodically to achieve the above objectives. The Chief Inspector takes responsibility for this function.

iii) Credit Administration or Advances Department

All advances exceeding the delegated authority of a Branch Manager and Area Manager are sent to the Credit Administrator or Head of Advances or Assistant General Manager (Advances) for approval, or for concurrence and subsequent approval by higher authority. Branch Managers' credit reports are prepared in a very comprehensive manner to facilitate the decision-making process.

iv) Head of Operations Administration Department

This includes branch administration, operations and control, branch expansion, stationery, supplies and purchasing, maintenance and security. The Operations Department ensures that branches operate in accordance with standard banking practices, principles and the Nigerian Law.

v) Staff Department

This department is concerned with recruitment, training and deployment of staff.

vi) Computer Department

A number of banks have introduced Electronic Data Processing systems into their operations in order to enhance efficiency and, as a result, Computer Departments have been created.

11-6 BRANCH ORGANISATION

i) The Branch Manager

At branch level the most senior official of a commercial bank is the Branch Manager. The Branch Manager is usually an experienced banker, versatile in banking operations generally and credit analysis and appraisal in particular.

Apart from receiving funds from and lending money to deserving customers of the bank, every Branch Manager is a potential salesman for his bank. Gone are the days when the branch manager used to do his work almost entirely within his branch, expecting his customers (or even potential customers) to come to see him. Today's business environment and keen competition in banking compels the Branch Manager to go outside and actively solicit business, to visit factories and to speak to varied groups.

Another important role which every Branch Manager is expected to play is that of an adviser. As the branch manager's daily routine brings into close contact with all classes of people and all trades and his views are likely to be more broadly based and in better than those people with narrower interests and respon-

sibilities. Apart from his own knowledge and experience, the Branch Manager relies on a number of experts in Head Office, subsidiaries, affiliates and associated banks and companies, to help him advise his customers. Areas where the Branch Manager has traditionally given advice to his customers include other sources of finance, especially surplus funds, investments and portfolio management, wills and trusts, insurance, tax matters and even family affairs. In addition to the above, corporate customers may seek advice on capital raising, balance sheet structure, mergers, leasing, factoring and international trade, etc.

Depending on the size of the branch and the experience of the Branch Manager, a lending limit is given up to which he can lend without reference to his Regional/Area Office or Head Office. Thus, the Branch Manager is able to approve certain loans on the spot, so the customer is not kept waiting anxiously for an Area Office or Head Office decision. The overall responsibility for the running of a branch in accordance with Head Office instructions devolves on the Manager. In large branches he has one or more assistant managers.

iii) The Accountant

In some banks, especially those with an American origin, this official is called the Operations Officer. He is responsible for the day-to-day organisation and administration of the branch. His area of responsibility is restricted to branch operations and the accounting side of the branch. He is usually not involved with credit matters, except requests for small loans and overdrafts from personal rather than business customers. Thus, his main responsibility is to ensure the smooth and efficient running of the branch. To achieve this objective, he is usually responsible for staff recruitment and training and the preparation and balancing of the branch books. He may have one or more assistant accountants, depending on the size of the branch.

iiii) Other Staff

The other staff in a branch include security clerks, who are responsible for the processing of security for bank loans and advances and investments for customers; foreign clerks, who handle foreign exchange, travellers' cheques, remittances, Letters of Credit, etc; the cashiers who receive and pay out funds and the accounting staff who carry out the accounting functions of the branch.

11-7 THE BALANCE SHEET OF A COMMERCIAL BANK

11-7-1 Introduction

Every student of banking should be able to analyse the Balance Sheet of a bank. Students are, therefore, advised to study the Annual Report and Accounts of their own banks. In the example below, the Balance Sheet of a medium sized Nigerian commercial bank is analysed item by item. It is hoped that this will give an insight into the peculiarities of a bank balance sheet.

Balance Sheet

30th September, 1982

Employment of Funds		1982	1981
a)	Cash and short term funds	57,848,754	31,433,504
b)	Statutory & other deposits with Central Bank	70,295,864	36,990,014
c)	Government securities	26,240,000	23,200,000
d)	Investment with other banks	50,000,000	22,000,000
e)	Loans and advances	540,321,558	387,138,950
f)	Other assets	24,662,762	77,062,578
g)	Fixed assets	43,327,670	38,967,388
		<u>812,696,608</u>	<u>616,792,434</u>

Financed by:		1982	1981
h)	Share capital	20,000,000	18,000,000
i)	Statutory reserve	13,468,000	11,840,000
j)	Undistributed profit	11,460,360	8,059,388
k)	Shareholders' funds	44,928,360	37,899,388
l)	Customers' deposits	489,039,818	351,687,148
m)	Other liabilities	263,728,430	227,205,898
n)	Debtenture stock	15,000,000	—
		<u>812,696,608</u>	<u>616,792,434</u>

Acceptances, guarantees and other obligations for account of customers (and customers liability thereof).

193,443,636	166,116,892
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11-8 ASSETS: USE OF FUNDS

Unlike the usual company Balance Sheet which lists assets in order of illiquidity (that is, commencing with fixed assets and ending with cash), Nigerian banks attempt to place emphasis on liquidity by listing the more liquid assets first, so that customers can see that they hold sufficient cash and other liquid assets to meet depositors' demands. This is the practice in most countries.

11-8-1 Cash and Short-Term Funds

i) Cash

This is the amount of notes and coins held in the strong-rooms of all branches of the bank and in the Head Office to meet customers' demands for cash withdrawals. Cash kept in the strong-rooms of banks are regarded as idle funds, since they cannot earn interest. Therefore efforts are made to keep the balances low.

Banks know from experience what amount to keep in their strong rooms as cash. Should there be an unusually high demand for cash at any time either money is transferred from one branch to another branch or cash is withdrawn from the bank's account with the Central Bank.

iii) Short-Term Funds

This refers to items in course of collection within Nigeria as well as balances with banks abroad.

Any cheque credited to an account and drawn by another customer of the same branch is debited to the drawer's account on the same day. However, most of the cheques credited to customers' accounts are drawn on other banks or branches of the bank. Such cheques need to be cleared before the payee can receive the proceeds. It takes about 4 days to clear cheques in a clearing area. The assets described above represent the claim that the bank has on other banks for items in course of collection. On the Balance Sheet in our example, this item is #35.2 million. As cheques are constantly being paid into the accounts of customers, there are always cheques in the course of collection. (The Clearing System will be discussed in detail later in this book.)

So, most of the liabilities of banks are payable on demand, but banks know from experience that on average only a small proportion of the funds deposited by customers will be demanded at any given time. Thus, provided provision is made to cover such withdrawals, the remainder of the deposits can be loaned to credit-worthy customers of the bank. The bulk of the profits made by banks arise from these simple transactions (i.e. the difference between the cost of the funds deposited by customers and the charges on loans to customers). Generally, depositors are paid lower rates of interest when compared with the rate charged on loans - whilst money in a current account does not usually qualify for any interest at all. In addition, banks also invest their surplus funds in short, medium and long-term securities. As earlier mentioned, these are the two major categories of earning assets in which banks invest their surplus funds in order to make profit. Some of the assets which are highly liquid and with low risk attract low interest rates; while those with higher interest yields are less liquid and more risky. What makes the task of asset selection difficult is the need to balance profitability, liquidity and risk.

From the foregoing, we can see that the more money banks can lend the higher their profit. However, every bank must be able to establish, from experience, what proportion of the depositors' funds will be demanded and make necessary arrangements to meet such demands. This means that the bank must retain a certain proportion of its funds in liquid form to be able to meet depositors' requirements. This is where bankers face a serious dilemma, as it has been found that the more liquid an asset is, the less the rate of return. Cash, for instance, being the most liquid form of asset, generates no profit at all and the relatively liquid assets like Call Money, Treasury Bills and Treasury Certificates normally generate low income, or at least yield less than the relatively illiquid assets. Loans and advances to customers, even though they may, in theory, be expressed as repayable on demand, are in practice not so liquid, but these are the assets on which banks normally earn the highest rate of return. If banks do not need to balance profit motives and the maintenance of adequate liquidity, most of them would certainly over-emphasise the pursuit of profitability at the expense of liquidity.

The conflicting requirements of profitability and liquidity can be viewed as resulting directly from the conflicting desires of the two groups who have provided the bank's financial resources: the shareholders and the depositors. The *shareholders* jointly own the bank and look to it to provide a return on their capital. The *depositors* have provided the vast bulk of the funds used by the bank and require

it is absolutely essential for every bank to effect a careful balance between the maximisation of lending in pursuit of profit and the minimisation of liquidity to the lowest level consistent with safety. In Nigeria, as in most countries of the world, this task is, to some extent, taken out of the banks' hands by official controls.

Table 11.1 shows that highly liquid assets like cash and Call Money have low yields, as far as profitability is concerned; while relatively illiquid assets like loans and advances are highly profitable due to the higher returns on them. If as a result of an unplanned pursuit of profit, loans are allowed to grow excessively, then the required liquidity ratio penalties will be imposed. CBN actions such as a change in cash and liquidity ratio requirements or interest rates lead to a portfolio adjustment process on the part of individual banks in order to maintain the desired distribution of assets for the maximisation of profits.

Table 11.1
Liquidity vs. Profitability

Asset	Tenure	Rate (%)	Liquidity	Profitability
Cash	1-30 days	7-8%	Very High	Nil
Call Money	91 days	8%	High	Low
Treasury Bills	1-2 years	9-9%	High	Average
Treasury Certificates	1-12 months	9%-10%	Average	High
Fixed Deposits	1-3 years	10%	Average	High
Eligible Govt. Stocks	4-25 years	10%-12%	Low	High
Other Govt. Stocks	Revolving	9%-13%	Low	Very High
Loans & Advances				

A bank may have Capital Reserve on its Balance Sheet as a result of revaluation of fixed assets, especially branch premises purchased and revalued at higher than purchase price at a future date. Another type of Capital Reserve arises when shares are issued at a higher price than the nominal price. The excess is placed on a Share Premium Account. The important difference between Capital Reserve and Revenue Reserve is that the latter can be distributed to the shareholders as dividend, while the former cannot be touched.

The sum of Share Capital, Statutory Reserve, General Reserve and Undistributed Profit, etc. are Shareholders' Funds.

11-9.4 Debenture Stock or Loan Capital

These are medium term loans to a bank at a fixed rate of interest and repayable over a fixed period of time to finance certain capital projects of a bank. In the event of a winding up, the holders shall be paid only after depositors have been fully repaid. Long-term debts are issued either through public underwriting or private placement. Like other liabilities of a bank they provide funds that support the bank's credit expansion and other financial activities or capital expenditure.

11-9.5 Customers' Deposits

As loans form the largest asset of a bank, customers' deposits are the largest liability on a bank's Balance Sheet. The depositors are creditors of the bank whose money, or part of it, must be repaid on demand or notice in accordance with the agreement.

11-9.6 Other Liabilities

These include provision for taxation due to the Board of Inland Revenue and provision for dividend. They also include cash security for Letters of Credit, collection deposits and remittance deposits. These deposits relate to foreign exchange transactions awaiting allocation by the Central Bank. Also included are interest reserves in respect of deposit liabilities, which have been accrued but have not been paid, cashiers/managers' cheques or bank drafts and certified cheques. Mail transfer and telegraphic transfers which require additional information before payment can be effected also form part of the total.

11-10 PROFITABILITY AND LIQUIDITY

We have seen that the two major functions of a commercial bank are the mobilisation of deposits and the extension of credits. Banks act as *financial intermediaries*, collecting money on deposit from one group and lending it out to another group. In this role, they are able to convert short-term deposits into long-term loans. They bring together people who have money (which they would like to lend but who also need the assurance or guarantee that they can have their money back whenever they wish) and those who need money (to borrow now and pay back over many years). The banks thus act as intermediaries, collecting deposits and paying interest on them and making loans and charging the borrowers interest at higher rates.

11-9.7 Acceptances, Guarantees and Other Obligations for Account of Customers

These are treated as contra items, appearing on both sides of the Balance Sheet. They comprise mainly outstanding Letters of Credit, acceptances, guarantees and other obligations not yet utilised or concluded.

The assets held by banks may be divided into two broad classes - earning assets and non-earning assets. *Earning assets are loans and investments*, while *non-earning assets consist of fixed assets, the total reserves of the bank, vault cash and non-interest earning deposits* with the Central Bank. Profits are generated by earning assets; while liquidity is provided partly by some earning assets like short-term investments and partly by non-earning assets like cash balances held in the vault and at Central Bank, both as working balances and as cash reserves.

Liabilities can also provide liquidity. When bank customers deposit money in their banks they are effectively lending the funds to the banks. The customer can deposit and withdraw funds at short notice or without notice depending on the type of account being operated.

11-8.2 Government Securities

These include Treasury Bills, Treasury Certificates and Development Stocks and Bonds. Treasury Bills and Treasury Certificates provide a safe short-term investment avenue for the surplus funds of banks. A reasonable return is normally expected, though it is lower than other more risky investments. They are issued by the CBN weekly for 90-91 days, but they are very liquid as they can be rediscounted with the CBN before their maturity date.

11-8.3 Statutory and Other Deposits with the CBN

These include balances on current account with the Central Bank which do not attract interest, Cash Reserve Deposits, Special Deposits and Letters of Credit deposits, etc.

The balance on current account is a working balance to meet the day-to-day cash requirements of the bank, such as cash withdrawals by branches, foreign exchange allocations, adverse clearing balances and payments for other investments. The Statutory Cash Reserve Deposit ranges from 2-5% of demand deposits, in accordance with the classification of the particular bank. These are deposits which all banks are required to make with the Central Bank and have been fully discussed in an earlier Chapter. Other deposits are self-explanatory.

11-8.4 Investments with Other Banks

These include investments in Call Money, Fixed Deposits and Negotiable Certificates of Deposit with other banks. The investments yield a high return and are reasonably safe.

11-8.5 Loans and Advances

This is by far the largest asset on the Balance Sheet of many banks. It stood at ₦540 million on the Balance Sheet under consideration. All loans and advances are technically repayable on demand, except for term loans. In practice this is not the case. The rates charged on these assets are quite high and are usually fixed by the Central Bank.

11-8.6 Other Assets

Items under other assets include Prepayments, Accrued Interest Receivable, Suspense Resources and Uncapitalised Expenditure.

11-8.7 Fixed Assets

This represents the bank's investment in buildings (premises) equipments and furniture, etc. The amount shown under this item is the depreciated value of bank buildings, furniture, fixtures and all equipments and machinery acquired for the bank's operations.

11-9 LIABILITIES: SOURCES OF FUNDS**11-9.1 Share Capital**

The issued and paid-up Share Capital is represented by the shares held by individuals, institutional investors and governments. Most of the shares issued by Nigerian banks are ordinary shares with ₦1 or 50k nominal value each. One or two banks did, however, issue preference shares during 1981 and 1982.

11-9.2 Statutory Reserves

Every bank in Nigeria is required by law to:

"maintain a reserve fund, and shall, out of its net profits each year and before any dividend is declared —

a) Transfer to the reserve fund, where the amount of the reserve fund is less than the paid-up share capital, a sum equal to not less than 25% of such profits; or

b) Transfer to the reserve fund, where the amount of the reserve fund is equal to or in excess of the paid-up share-capital 12½% of the net profit of the bank, but no transfer under the foregoing provisions of this section shall be made until any past losses have been made good."

11-9.3 Undistributed Profit, Share Premium Account and General Reserve

These are the profits earned over the years which have not been distributed. Part of the balance on these accounts may eventually be capitalised or used for the purpose it was set aside for. It can also be called Revenue Reserve.

safety and the ability to get their money out at short notice. A successful bank has to reconcile the interests of these two groups or it would lose either its depositors or its shareholders (Palfreman & Ford, 1984).

11-11 CAPITAL ADEQUACY

11-11.1 Introduction

Capital, so far as a commercial bank is concerned, is its own funds or resources. It is necessary to measure *capital adequacy* to determine whether a bank's capital is adequate to cushion possible losses resulting from loan losses or disappointing interest margins. Such funds should, therefore, not be subject to fixed interest payments or fixed redemptions. Funds or resources: paid-up capital, share premium accounts, statutory reserves, undistributed profits, general reserves and (free) general provisions.

However, for certain regulatory measures only paid-up capital and statutory reserves are allowed by the Central Bank as Shareholders' Funds, for the simple reason that the other items enumerated above are transient and can be reduced by a management decision.

Capital management includes the management of long-term debt and equity capital funds of a bank. Long-term debts consist of borrowing instruments issued by a bank with maturities exceeding one year (e.g. debenture stock). Such long-term debts are issued either through the same function as other liabilities of a bank — they provide funds that support the bank's credit expansion and other financial activities or capital expenditure.

Sound capital management in banking requires the maintenance of an adequate base of equity funds, supplemented by long-term debt. It is the policy of banks generally to maintain sound capital growth by balancing earnings allocation between dividend payout and profit retention in order to enhance future assets and earnings and by issuing new equity whenever the need arises.

11-11.2 Measurement of Capital Adequacy

The monetary authorities in Nigeria have consistently used three methods for capital control purposes:

- (i) Fixed minimum capital requirement.
- (ii) Limitation of lending limit.
- (iii) Weighted risk/assets ratio.

(i) *Fixed Minimum Capital Requirement*
Since 1952 when the first Banking Act was promulgated, provisions for minimum capital requirements have been made. The Banking Act, 1969, as amended in 1979, stipulated that the paid-up capital of an indigenous bank should not be less than ₦600,000, while the paid-up capital of banks with a foreign interest was fixed at ₦1,500,000. (Merchant banks must have a minimum paid-up capital of ₦2 million.)

(ii) *Limitation of Lending Limits (i.e. Limits on Large Loans)*
By this method, the Central Bank sets a limit for lending to individual debtors or groups of inter-related debtors. This limit is expressed as a percentage of the banks' own funds. It is otherwise called the *Legal Lending Limit*. As bank capital provides a cushion against risk, the maximum lending limit of a commercial bank is thus statutorily tied to its own funds. In 1982, the maximum loan that any Nigerian bank could grant to a single customer was 33⅓% of the sum of the paid-up capital and statutory reserves of the bank. This was computed as follows:

Capital (Paid-up)	20,000,000
Statutory Reserve	8,200,000
Total	28,200,000
33⅓% of ₦28,200,000	₦9,400,000

The legal lending limit of this (hypothetical) bank is ₦9.4 million, so it cannot lend more than ₦9.4 million.

(iv) While commercial banks accept deposits from all and sundry, merchant banks depend on public and private corporations. In their lending activities, commercial banks deal with a wide variety of customers, while merchant banks deal mainly in the acceptance and discounting of commercial bills to finance trade and corporate customers.

12-2 THE BEGINNING OF MERCHANT BANKING

The idea of merchant banking was developed in the UK between the late 18th century and the early 19th century. It was later exported to the USA. Merchant banks are best known in the UK as 'acceptance houses' and as 'investment banks' in the USA.

They were engaged principally in the financing of commerce and international trade, particularly financing the purchase of goods mainly from Europe and shipping these goods to developing countries. They achieved this by accepting bills of exchange which, when stamped with their acceptance, became rediscountable.

The instruments grew in credibility and eventually acquired the status of 'eligible paper', commanding the highest degree of liquidity shared only by Treasury Bills. They attracted the lowest rate of discount, bills accepted by merchant banks are easily rediscounted by the exporter to raise funds for immediate use. The merchant banks are thereafter reimbursed by the foreign importer at maturity. UK importers also arranged to have the bills of exchange drawn on them by overseas exporters accepted by an accepting house or merchant bank.

12-3 HISTORY AND DEVELOPMENT

The history of merchant banking in Nigeria dates back to 1960 when the first two financial institutions were registered for merchant banking business. In September 1960, Phillip Hill (Nigeria) Limited was registered while Nigerian Acceptances Limited (NAL) was registered in November 1960. The two companies performed identical functions which included:

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(iv) acting as issuing houses.

(iii) the extension of credit in the form of loans and advances; and

The two companies merged in July 1969 to avoid unnecessary competition and to strengthen their capital base. At the end of the merger process, Phillip Hill absorbed NAL, but the name of the absorbed institution - Nigerian Acceptances Limited - was retained and given to the new institution because it was more acceptable as a Nigerian company. Following the merger, Nigerian Acceptances Limited remained the only merchant bank operating in the country until 1973, when a licence to carry on merchant banking business was issued to U.D.T Bank (Nig.) Limited, restructured and named Nigerian Merchant Bank Limited in 1977. They were followed by two American banks - First National City Bank of New York and First National Bank of Chicago which were licensed in 1974 and started operations during the same year. The former pulled out of Nigeria after a brief spell as it could not accept the conditions stipulated by the Nigerian Enterprises Promotion Decree, while the latter has remained on the scene as the International Merchant Bank (Nigeria) Limited (IMB). Three other merchant banks were licensed in 1974, but none of them opened for business that year. In 1975, Icon Limited Merchant Bankers and Chase Merchant Bank (Nigeria) Limited started operations. In 1985 Chase Merchant Bank Limited changed its name to Continental Merchant Bank.

In September 1979, the Nigerian-American Merchant Bank Limited, an affiliate of First National Bank of Boston, was licensed to operate as a merchant bank in Nigeria. It was the first Nigerian merchant bank to be sponsored by private Nigerian investors in collaboration with foreign banking interests. Thereafter, there was no new entry until 1982 when the Merchant Banking Corporation Nigeria Ltd and the Indo-Nigerian Merchant Bank Limited started operations.

In the same year three additional licences were issued to Merchant Bank of Africa (Nig.) Limited, First City Merchant Bank Limited and ABC Merchant Bank Limited. The first two started business operations in 1983, while ABC Merchant Bank was officially opened for business operations in 1984. Both First City Merchant Bank and ABC Merchant Bank were licensed by the Nigerian Accord to Continental Bank records.

11.3 Compare and contrast the commercial banking systems in Nigeria and America.

11.4 State briefly the main functions of commercial banks in Nigeria.

11.5 Classify the different types of banks in Nigeria, giving brief details of their main functions.

11.6 Outline the development of banking in Nigeria from 1892-1952.

11.7 What makes a bank's assets liquid?

11.8 A company in Japan sends goods to a customer in Kano. Describe the methods available to the Kano customer through his bank to make payment to the company in Japan. Indicate the relative merits of the methods.

11.9 Write short notes on:

i) A status inquiry report.

ii) Open credits or cashing credits.

11.10 List and describe the special services offered by a commercial bank in Nigeria which are likely to be of greatest use to personal customers.

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Table 11.2

Limits on Large Loans
% of a bank's own resources

Canada	75
France	75
Germany	100
Italy	20-40
Japan	15-25
Netherlands	15
Sweden	10
United States	33%
Nigeria	

Source: Hugo Colje. How Much Capital is Adequate? *The Banker*, June 1982 p. 56

iii) Weighted Risk/Assets Ratio

This method relates Shareholders' Funds to the sum total of risk bearing assets, weighted by the degree of risk involved.² For instance an unsecured loan will attract a higher rate of solvency requirement than a secured loan. We shall consider in detail how this method works by considering the Balance Sheet shown overleaf.

To determine the adequacy of the capital assets will be grouped into the following categories and each group will be assigned and allocated a solvency requirement.

The first group comprises of the most liquid of bank assets like cash in the bank's strong rooms (notes and coins), the balance with Central Bank of Nigeria, balances held with other banks — including Call Money, fixed deposits and investment in government securities (e.g. Treasury Bills and Treasury Certificates, Bankers' Unit Fund and certificates of Deposit of not more than 18 months' maturity and other government stocks with not more than 3 years' maturity). This will

The second group of assets to be considered are Certificates of Deposit held whose tenure exceeds 18 months and government stocks of over 3 years' maturity. Loans and advances fully secured by time and/or savings deposit are also included in this group. These are regarded as 'minimum risk assets'. The amount of risk is very minimal and it is believed that this risk can be absorbed by internally-generated current earnings. Hence, as in the first group, the capital requirement is nil.

The third category includes the non-classified loan portfolio and other investments in Nigeria. The risk here is also minimal, so capital backing is not required. (These can be called 'Normal Risk Assets'. The fourth category covers loans classified by Central Bank of Nigeria examiners as sub-standard due to the poor financial standing of the customer, insufficiency of security or failure to meet engagements. These are called 'Sub-standard Assets' against which 10% of capital should be provided.

The fifth category also relates to the loan portfolio. Under this category, all debts classified by CBN examiners as doubtful or recovery require 50% cover. These are called 'Doubtful Risk Assets'. The sixth category includes known losses of the bank and bad debts. Bad debts are debts which have become worthless and uncollectible. 100% capital support is required for this category of assets. The seventh and final category consists of the fixed assets of the bank. These are bank premises, equipment, furniture and fixtures, etc. These items are expected to be funded by the bank's capital funds and not with depositors' funds. 100% capital support is also required. The minimum capital required by a bank is the sum of the percentages required for its various assets.

REVIEW QUESTIONS

- 11.1 Draw up a typical balance sheet for a commercial bank illustrating the main classes of liabilities and describing the significance of each of them.
- 11.2 Discuss the view that the distribution of a commercial bank's assets is determined by a balance between the needs of liquidity and those of profitability.

CHAPTER TWELVE MERCHANT BANKING 12-1 WHAT IS A MERCHANT BANK?

A merchant bank has been defined (Padovan, 1977) as a bank which operates in all or most of the following areas:

- i) corporate financial advice on new shares and bonds issues, capital reconstructions, mergers and acquisitions;
- ii) taking deposits and money market operations and foreign exchange dealing;
- iii) medium-term lending and the syndication of loans;
- iv) acceptance credits and all forms of finance;
- v) the hold of, and dealing in, quoted and unquoted investments; and
- vi) fund management on behalf of clients, most typically pension funds, unit trusts, investment trusts and wealthy individuals.

The major differences between merchant banks and commercial banks can be summarised as:

- i) Merchant banks are wholesale bankers accepting deposits only in large blocks with a minimum of ₦50,000, whilst commercial banks act primarily as retail bankers. Thus, while commercial banks do business with individuals and companies, merchant banks concentrate on corporate customers.
- ii) Merchant banks operate as wholesale bankers with only a few branches, while commercial banks, as retailers, need a wide network of branches.
- iii) Merchant banks provide mainly medium and long-term finance, short-term loans and advances.

a licence in October 1983 and opened its doors for business operations in 1984.

It can be seen from the above review that as at end of September 1986 Nigeria had twelve merchant banks. The conclusion was reached in a recent study (Asinobi, 1986) that the upsurge of merchant banking in the mid-1970s could be accounted for by the indigenisation decree, the oil boom and the Third National Development Plan. They opened up opportunities which merchant banks did not hesitate to take up. The coming of the merchant banks in the 1980s was a result of the Federal Government's declared policy towards industrial expansion. As this policy was being implemented, there was an increased need for the specialised, tailor-made services of merchant banks, particularly loan syndication, project finance, financial advice, reconstruction and reorganisation and new issues to accelerate the pace of industrialisation.

12-4 SERVICES OFFERED

Merchant banking services comprise primarily corporate finance services and banking services.

Corporate finance services range from the management of the issue of private and public equity shares to corporate debt securities. Merchant banks provide expertise in the arrangement of syndicated loans for the financing of large-scale industrial projects, general financial and investment advisory services, company floatation, mergers and reconstruction, financial planning and portfolio management. The banking services are essentially loans, advances, deposits, acceptances, foreign exchange transactions, international trade and equipment leasing.

12-4.1 Corporate Finance Services

ii) Issuing House Services

Merchant Banks act as Issuing Houses in the capital market. In this role they provide financial services to corporate entities including governments, government parastatals and companies seeking to raise long-term or permanent finance for their operations. They do this by sponsoring their capital issues and the sales of their securities to the public. They provide advice on the correct type of capital structure and

determine the most appropriate time to make an issue. In addition, they advise on relevant government regulations, legislation and policies and in preparing all the necessary documents (e.g. the prospectus required for an application for quotation on the Stock Exchange) and give backing to an issue in the form of underwriting.

ii) Project Financing

Project financing (or project loans) are terms which describe the methods that banks, especially merchant banks and other institutional lenders in Nigeria, use to finance the construction of new projects on a basis whereby repayment is anticipated from the revenue stream generated by the project. Project financing often involves a loan to a new entity formed specifically to own or operate the project.

The analysis of a project loan proposal is quite different from the analysis of other term loan proposals since it involves a decision based on the review of a projection or forecast rather than of historical earnings or data.

The following characteristics are common to most project financing situations:

a) The financing of a new project or a start-up operation or major expansion as an independent economic unit.

b) The borrower represents the project itself, with the source of repayment being the project's own cash flow.

c) The ventures are normally very large, complicated at times by government involvement, and a desire for off-balance sheet credit arrangements.

iii) Advisory Services

These include:

a) advice in relation to project finance and joint ventures;

b) advice on, and the arrangement of, mergers and acquisitions including re-organisation and debt financing; and,

c) advice to companies in relation to their financial structure.

It is important to note that since 1982 no major government financial advisory business has come up. However, a few finance houses during

